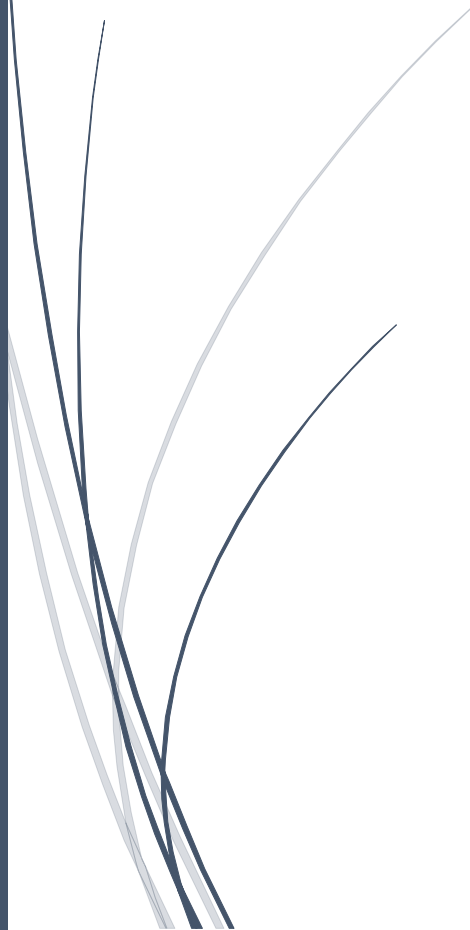


30-Jun-2025

General Ledger System Documentation

Draft 7



Bassam AL-Areed
RTS

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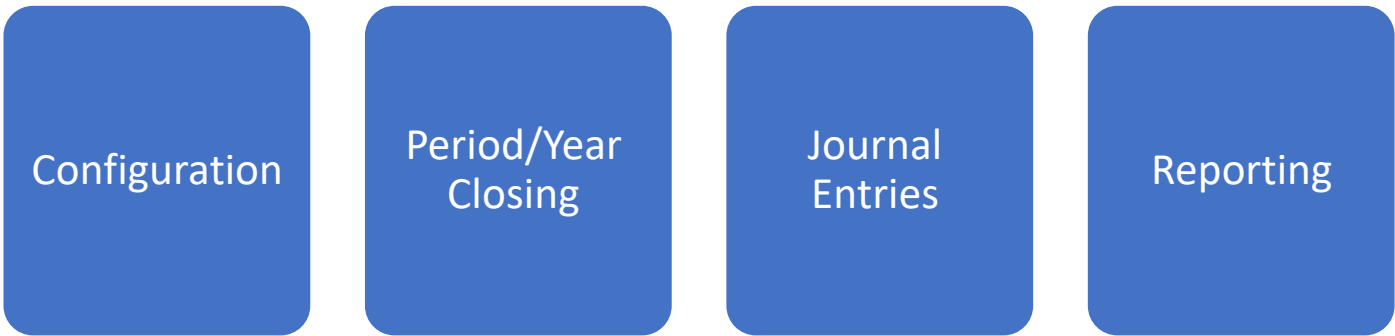
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1. What is GLS?

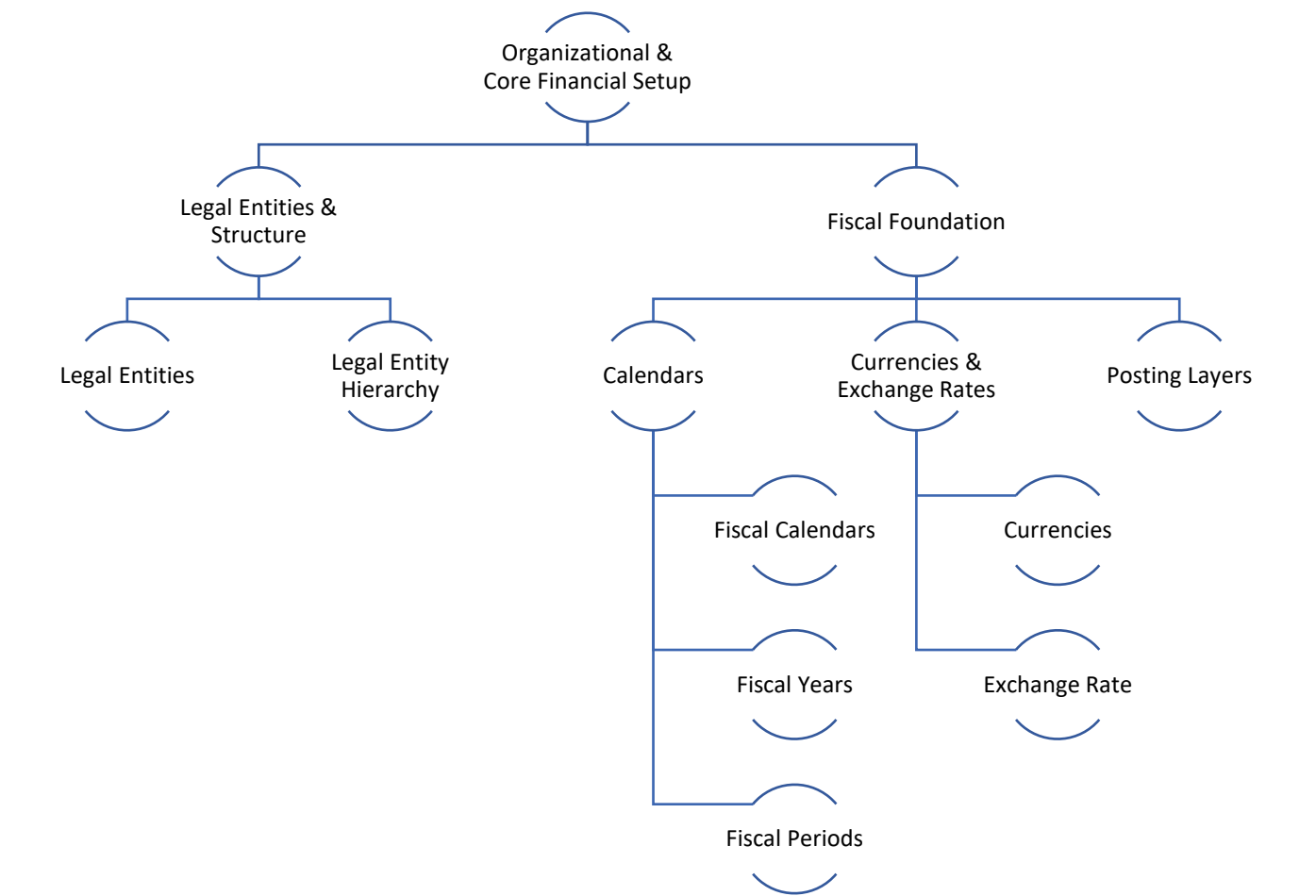
The General Ledger System (**GLS**) is a comprehensive suite of integrated accounting solutions designed to manage and streamline financial operations within an organization. It comprises three primary solutions: the **GLS API**, the **GLS Portal**, and the **GLS Engine**, each serving distinct yet complementary roles.

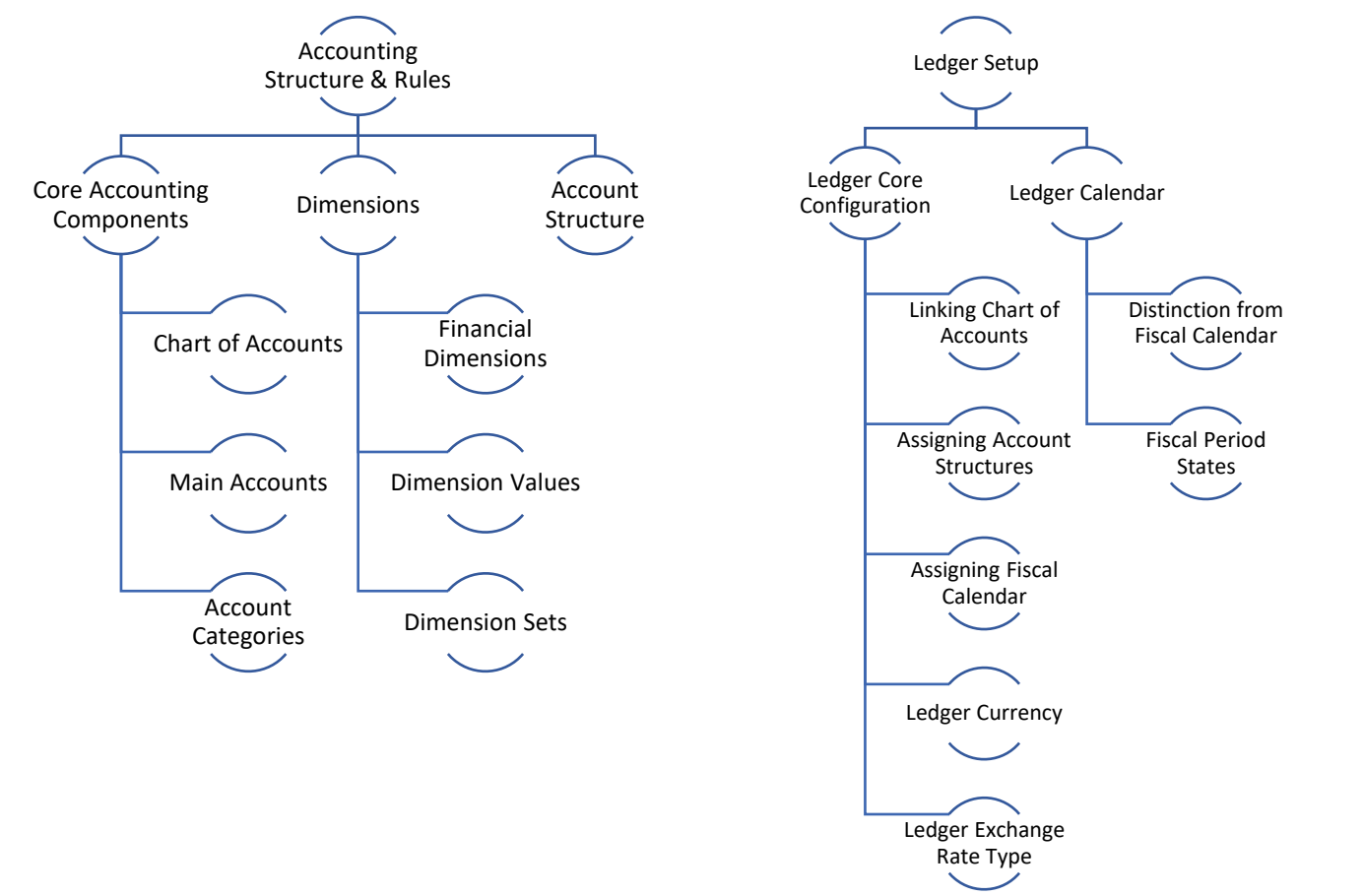
2. GLS Components

The General Ledger System is comprised of four primary components, each essential for comprehensive financial management:

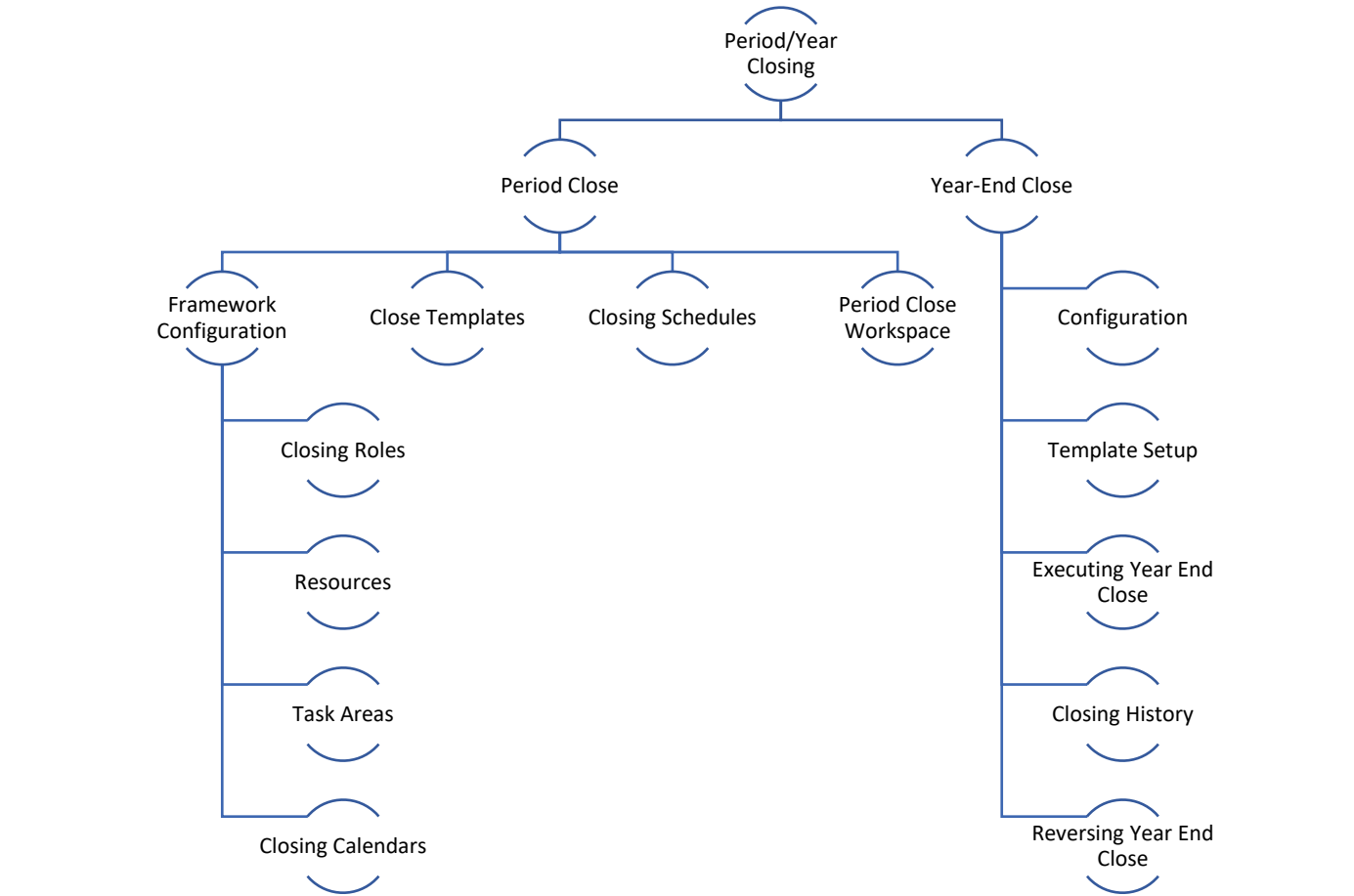


2.1. Configuration Components

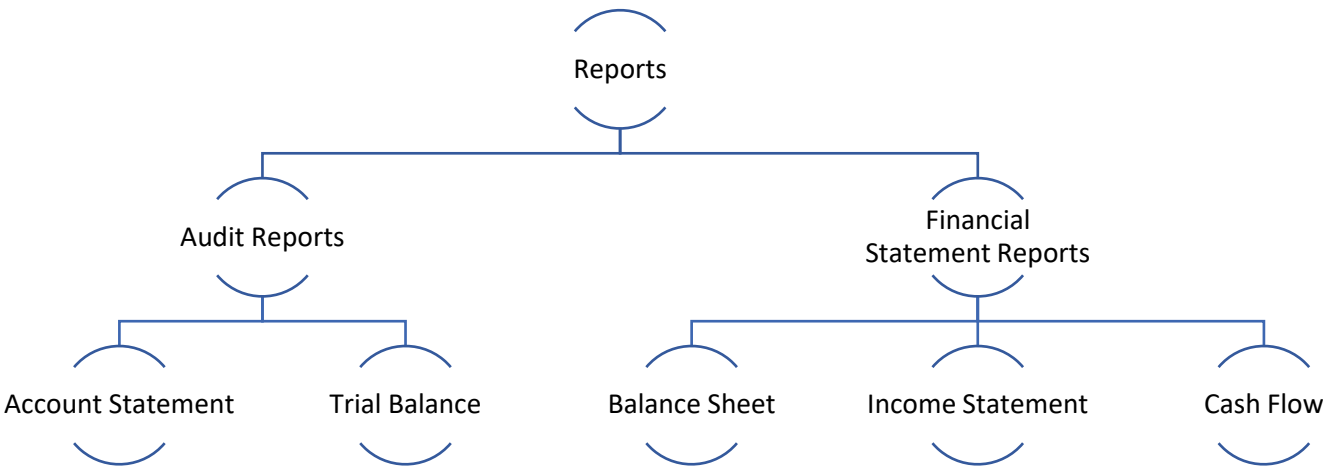




2.2. Period/Year Closing Components



2.3. Reporting Components



3. Configuration

The **Configuration** area within GLS serves as the foundational module for the initial setup and system-wide parameterization of the application. It is here that all essential data and core settings are established before GLS becomes fully operational. This preparatory phase is critical, as it defines the structural and operational rules that will govern all subsequent financial activities.

It is important to understand that direct financial transaction entry (such as posting journal entries) does not occur within the Configuration module itself. Instead, Configuration is primarily concerned with a one-time setup process. Once GLS is meticulously configured and launched, direct interaction with many parts of this module for ongoing data entry or major setup changes will be infrequent, though specific parameters may be revisited as the organization evolves.

3.1. Organizational & Core Financial Setup

This primary section within Configuration focuses on establishing the fundamental organizational structure and the core financial definitions that are fundamental to all operations in GLS.

3.1.1. Legal Entities & Structure

The concept of legal entities and their hierarchical relationships forms the foundation of how GLS organizes financial data and facilitates reporting across different parts of an enterprise.

Legal Entities

A **legal entity** in GLS represents an organization or a distinct part of an organization that has a registered or legislated legal structure. These entities typically possess the capacity to enter into legal contracts and are generally required to prepare financial statements reporting on their performance. Common examples of what might be set up as a legal entity in GLS include distinct companies, corporations, partnerships, or even significant operational branches if they have separate legal standing or reporting requirements.

Legal Entity Hierarchy

The **legal entity hierarchy** feature in GLS allows for the definition and visualization of relationships between multiple legal entities that constitute a larger organizational group. This hierarchy can effectively model various common business structures, such as an organization with several branches, a parent holding company with multiple subsidiary companies, or even more complex arrangements where subsidiaries themselves have their own branches or sub-companies.

A standout characteristic of the legal entity hierarchy capability in GLS is its exceptional **flexibility and scalability**. There is no predefined limit to the number of hierarchical levels that can be established, ensuring that GLS can cater to the structural needs of organizations of any size—from small businesses with a simple branch structure to large, multinational corporations with complex, multi-layered corporate formations. This adaptability means that as an organization operates, evolves, or grows, GLS provides a robust and consistent framework for managing its legal structure.

The primary purpose of establishing a clear legal entity hierarchy within GLS is to streamline and enable accurate **consolidation of financial results**. This is particularly crucial during period-end and year-end closing processes, as the defined hierarchy facilitates comprehensive financial reporting across all related entities, reflecting the true consolidated performance and position of the overall group.

Use Case: Illustrative Organizational Hierarchies

Figure 3.1-1 illustrates various hierarchical charts demonstrating different company setups that can be modeled within GLS. These examples include a single company structure, a company with multiple branches, and a holding company with subsidiary companies and their respective branches.

- CompanyA → Single company.
- CompanyB → Single company with multi branch.
- CompanyC → Holding company with subsidiary companies and branches.

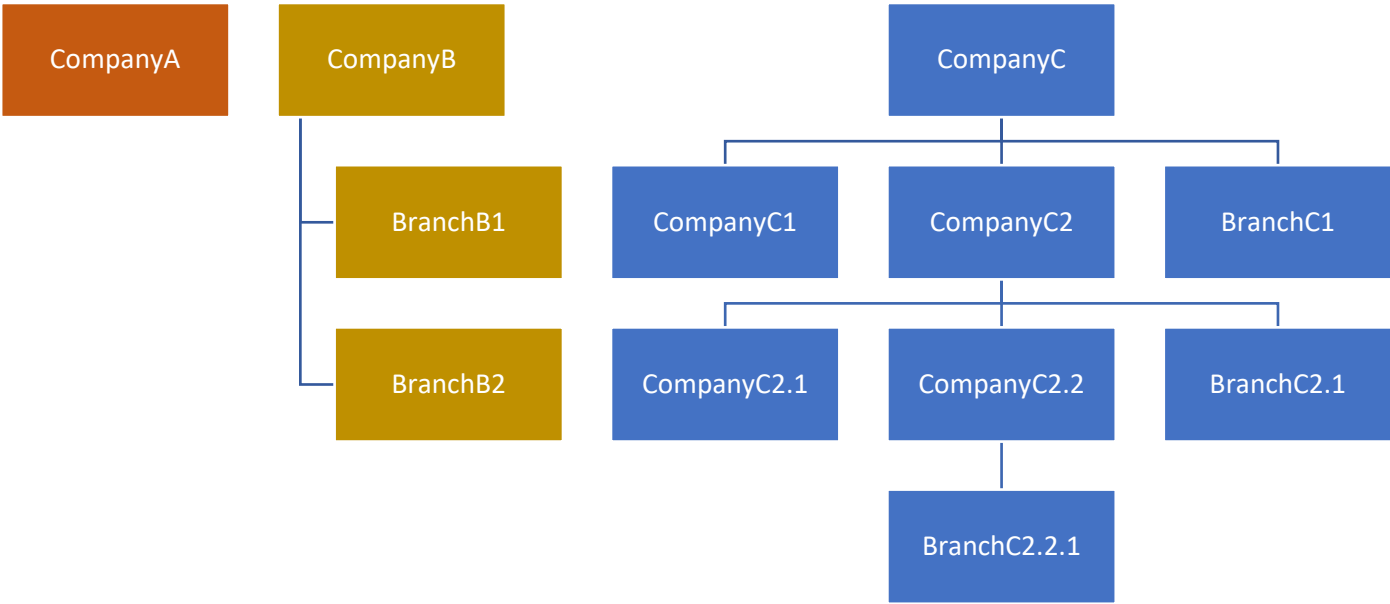


Figure 3.1-1

3.1.2. Fiscal Foundation

3.1.2.1. Calendars

Imagine GLS as the central nervous system of an organization's financial health, precisely tracking every pulse of financial activity. To bring order and meaning to this flow of information, GLS relies on a sophisticated yet intuitive timeline system: its **Calendars**. Much like a conductor guides an orchestra, these calendars ensure that every financial event is recorded, analyzed, and reported in its proper sequence and context. This structured approach, built upon **Fiscal Calendars**: The Organizational Framework, **Fiscal Years**: Defining Annual Cycles, and **Fiscal Periods**: Granular Tracking Within a Year, is fundamental to providing clarity, enabling insightful analysis, and ensuring robust financial governance within GLS.

Fiscal Calendars: The Organizational Framework

The **Fiscal Calendar** provides the overarching framework for an organization's financial activities. It serves as a container for one or more fiscal years, defining the high-level structure for time-based financial recording and reporting.

Customization: Fiscal Calendars offer significant flexibility. They allow alignment with a standard calendar year (e.g., January 1 to December 31) or full adaptation to any start and end dates that suit an organization's specific business cycle, such as a fiscal year starting July 1 and ending June 30 of the subsequent year.

Multiple Calendars: GLS supports the creation of multiple calendars, with no practical limit on their number. This capability is especially valuable when different segments of an organization, or various legal entities, need to operate on distinct financial timelines. For example, if an organization has eight legal entities, five might share one Fiscal Calendar, while the other three might each require a distinct Fiscal Calendar.

Independence and Sharing: Fiscal Calendars are designed for both independence and sharing. Each calendar is an independent entity, promoting modularity. However, a single, centrally defined Fiscal Calendar can also be efficiently shared and utilized by multiple legal entities, thereby fostering consistency in financial practices where appropriate.

Figure 3.1-2 illustrates the creation and components of a fiscal calendar.

Create a new fiscal calendar

Calendar

Jan to Dec

Description

January to December Calendar

Start of fiscal year

1/1/2024

End of fiscal year

12/31/2024

Fiscal year name

2024

Length of period

1

Unit

Months

Create

Figure 3.1-2

Fiscal Years: Defining Annual Cycles

Within each Fiscal Calendar, one or more **Fiscal Years** are defined. A Fiscal Year represents a specific annual cycle for which financial performance is tracked and reported.

Duration and Division: While a typical fiscal year is 12 months, the exact length of a Fiscal Year can be defined as needed. Each Fiscal Year, in turn, is divided into a number of **Fiscal Periods**: Granular Tracking Within a Year, allowing for more granular tracking.

Purpose: Fiscal Years serve a fundamental role in financial management. They are essential for generating annual financial statements, conducting comprehensive profitability analysis, and understanding the overall financial position of an entity over a defined yearly (or other specified length) cycle.

Figure 3.1-3 shows fiscal years within a fiscal calendar, Figure 3.1-4 shows the creation of a fiscal year.

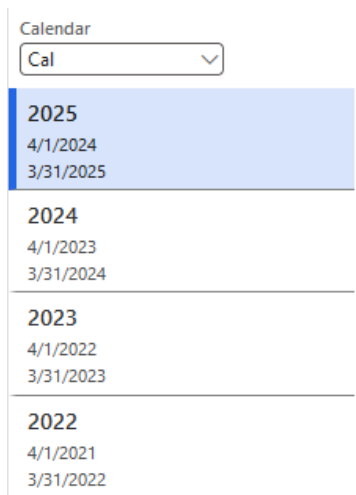


Figure 3.1-3

Create new fiscal year

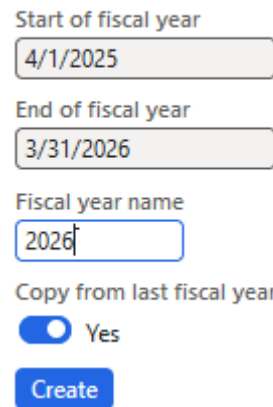


Figure 3.1-4

Fiscal Periods: Granular Tracking Within a Year

To enable more detailed tracking and analysis of financial performance, each **Fiscal Year** is further subdivided into multiple **Fiscal Periods**. These periods represent shorter segments of the Fiscal Year, allowing for more frequent review and management of financial data.

Customizable Segments: Fiscal Periods can be configured with considerable flexibility to align with various business cycles, such as monthly or quarterly reporting intervals. This granular view is invaluable for tracking financial trends, identifying areas that require attention, and making timely operational adjustments.

Period Status Control (Ledger Calendar): It is important to understand that the Fiscal Calendar and its defined Fiscal Periods do not directly manage the status (e.g., Open, On Hold, Closed) for transaction posting. Because a Fiscal Calendar can be shared across multiple legal entities, which often have different closing schedules, direct period status control at this level would be impractical. Therefore, this critical control is handled on a per-legal entity basis via the **Ledger Calendar**, ensuring each entity can manage its own period lifecycle independently.

Standard Period Types within a Fiscal Year:

When a new Fiscal Year is created, the system automatically generates periods with specific types to facilitate standard accounting processes:

- **Opening Period:**
 - **Type:** Opening
 - **Purpose:** This period is specifically designated for recording opening balances carried forward from the previous fiscal year.
- **Operating Periods:**
 - **Type:** Operating
 - **Purpose:** These are the standard periods (e.g., months or quarters) used for recording regular day-to-day accounting transactions throughout the fiscal year. A fiscal year will typically have multiple Operating periods.

- **Closing Period:**

- **Type:** Closing
- **Purpose:** This special period is used to record year-end closing adjustments and general ledger transactions generated during the fiscal year close process. Isolating these transactions in a dedicated Closing period facilitates the creation of financial statements that can easily include or exclude year-end closing entries. If a fiscal year is divided into 12 operating periods, the Closing period is often treated as the 13th period.

Figure 3.1-5 illustrates a 12-month fiscal period within a fiscal year.

Period name	Type	Start date	↑	End date
Opening	Opening	1/1/2025		1/1/2025
Period 1	Operating	1/1/2025		1/31/2025
Period 2	Operating	2/1/2025		2/28/2025
Period 3	Operating	3/1/2025		3/31/2025
Period 4	Operating	4/1/2025		4/30/2025
Period 5	Operating	5/1/2025		5/31/2025
Period 6	Operating	6/1/2025		6/30/2025
Period 7	Operating	7/1/2025		7/31/2025
Period 8	Operating	8/1/2025		8/31/2025
Period 9	Operating	9/1/2025		9/30/2025
Period 10	Operating	10/1/2025		10/31/2025
Period 11	Operating	11/1/2025		11/30/2025
Period 12	Operating	12/1/2025		12/31/2025
Closing	Closing	12/31/2025		12/31/2025

Figure 3.1-5

3.1.2.2. Currencies & Exchange Rates

Effective management of multiple currencies and their conversion rates is a fundamental requirement for many organizations, and GLS provides robust tools for this purpose. This section outlines how currencies are defined and how exchange rates are configured to handle transactions in different monetary units.

Currencies

The **Currencies** configuration area in GLS is where all currencies that the organization will transact with or report in are defined and managed. While GLS may come with a set of commonly used currencies pre-initialized for convenience, administrators can add, modify, or manage the properties of any currency required for business operations. This setup forms the basis for all multi-currency transactions and financial reporting within the system.

Exchange Rate

The **Exchange Rate** configuration in GLS defines how currency conversion values are established and applied. Accurate exchange rates are essential for translating transaction amounts from one currency to another, particularly for recording transactions in the accounting currency of a legal entity when they originate in a foreign currency.

Setting up an Exchange Rate:

To create a specific exchange rate between two currencies in GLS, the following components must be specified:

- **From Currency:** This is the currency you are converting from.
- **To Currency:** This is the currency you are converting to.
- **Conversion Factor:** This factor (e.g., 1, 10, 100, 1000) determines the unit scale for which the exchange rate is quoted. It helps in managing currencies where the exchange rate might involve many decimal places or very large numbers if quoted on a 1-to-1 basis.
- **Exchange Rate Value:** This is the actual rate applied, corresponding to the specified conversion factor.

Example of Exchange Rate Setup:

Suppose the current market rate is such that 100 US Dollars (USD) are equivalent to 52,000 Yemeni Rials (YER). To configure this in GLS:

- **From Currency** would be USD.
- The **To Currency** would be YER.
- A **Conversion Factor** of 100 would be appropriate.
- The **Exchange Rate Value**
- entered would be 52,000.

This configuration means that GLS will understand that for every 100 USD, the equivalent value is 52,000 YER

Figure 3.1-6 illustrates the creation of currency conversion with its exchange rate

Currency exchange rates

From currency: USD To currency: YER Conversion factor: 100

Add or remove exchange rates

+ Add - Remove

Start date	Exchange rate	Exchange value
	52,000.0000	52,000 YER for 100 USD

Figure 3.1-6

3.1.2.3. Posting Layers

GLS incorporates an advanced and powerful **Posting Layers** feature that allows organizations to record transactions or adjustments in multiple, parallel accounting representations within the *General Ledger*. This capability provides significant flexibility for diverse reporting needs and internal management analysis, all while maintaining the clarity and distinctness of the primary operational ("Current") set of books. The ability to define and utilize these layers is configured centrally within GLS.

Understanding Posting Layers in GLS:

A Posting Layer in GLS can be thought of as a distinct "version" or "view" of the General Ledger. While all transactions originate from the same underlying business events, Posting Layers enable different accounting treatments for the same business event. The primary transaction posts to the 'Current' layer, while distinct adjustment entries, specific to other reporting needs (like tax or budget), can be recorded on separate, dedicated layers.

- **The "Current" Layer:** GLS comes with one predefined, primary posting layer named **"Current"**. This layer represents the main operational accounting reality of the organization – the day-to-day transactions that form the basis of standard financial statements for general business use. All standard journal entries will typically default to this layer unless otherwise specified by the **Journal Name** configuration.
- **User-Defined Posting Layers:** A key strength of GLS is the ability for organizations to **define their own additional Posting Layers** to cater to specific requirements. This allows for a tailored accounting environment that can address various analytical and reporting perspectives simultaneously.

Purpose and Benefits of Utilizing Multiple Posting Layers:

The ability to define and use multiple Posting Layers offers substantial benefits:

- **Meeting Diverse Reporting Requirements:** Enables the generation of financial statements tailored to different audiences or internal management standards. For instance, a company might use the 'Current' layer for its

primary operational reporting, while a separate user-defined layer holds specific adjustments required for unique internal performance views, allowing both perspectives to be derived from the same core transaction data.

- **Budgeting and Forecasting:** A "Budget" or "Forecast" layer allows for the recording of planned financial figures separately from actuals (typically on the "Current" layer), facilitating meaningful comparison of actual performance against budget targets, alongside overall performance tracking.
- **Consolidation Eliminations & Adjustments:** For organizations with multiple legal entities, specific layers (e.g., "Elimination") can be used to post entries that remove intercompany transactions and balances during the consolidation process, without affecting the individual entities' operational ("Current") books.
- **Management Adjustments & "What-If" Scenarios:** Custom layers can be created for specific management reporting needs or to model 'what-if' scenarios. For instance, to assess the impact of a potential new accounting policy, an organization could post *hypothetical adjustment journals representing that change* onto a dedicated 'Modeling' layer. Reports could then be run combining the 'Current' layer with this 'Modeling' layer to see the simulated financial impact, all without altering the official 'Current' layer records.
- **Maintaining a Clean Operational Ledger:** By segregating specific types of complex adjustments (such as those required for unique industry regulations or sophisticated valuation models) onto their own dedicated layers, the 'Current' layer remains a clear and straightforward reflection of daily operational accounting.

Utilizing Posting Layers:

Once defined, these Posting Layers become available for selection when configuring [Journal Names](#). The *Posting Layer* assigned to a *Journal Name* dictates the layer onto which all transactions entered via that journal will be recorded.

Subsequently, when generating financial reports or performing inquiries in GLS, users will typically have the flexibility to select a **single Posting Layer** for focused analysis (e.g., viewing only 'Budget' layer data) or to combine **multiple Posting Layers** (e.g., viewing 'Current' layer alongside 'Budget' layer to compare actual results with budgeted figures) to achieve different reporting perspectives. This allows for targeted analysis and comprehensive reporting based on these parallel accounting views.

The Posting Layers feature in GLS provides an advanced and powerful way to handle complex accounting and reporting requirements, offering organizations the flexibility to see their financial world from multiple, distinct perspectives.

3.1.3. Users Management

3.2. Accounting Structure & Rules

The accounting structure in GLS is fundamental to how your organization records, categorizes, and analyzes financial transactions. It is built upon interconnected components: the [Chart of Accounts \(COA\)](#), [Main Accounts](#), [Financial Dimensions](#), and [Account Structure](#). Understanding how these elements work together is key to accurate ledger posting, detailed financial reporting, and effective financial analysis.

3.2.1. Core Accounting Components

The foundation of any accounting system lies in its core components. In GLS, these are primarily the Chart of Accounts (COA) and the [Main Accounts](#) it contains, further enhanced by Account Categories for reporting and analysis.

3.2.1.1. Chart of Accounts (COA)

A **Chart of Accounts (COA)** in GLS serves as the foundational, structured list of all financial accounts utilized within the General Ledger of a specific legal entity. It acts as the **master directory** for all financial accounts, providing a categorized framework for classifying every type of financial transaction. While the [Main Accounts](#) form the individual entries within the COA, the true analytical power of the COA for detailed reporting and insightful analysis is realized through its integration with [Financial Dimensions](#) and the validation rules defined by [Account Structure](#).

The COA is the backbone for preparing essential financial reports, catering to both internal management needs and external stakeholder requirements. Accounts within the COA are logically grouped by their nature (e.g., Assets, Liabilities, Equity, Revenues, Expenses) and can be further sub-categorized for more granular classification.

COA Structures in GLS:

GLS offers flexibility in how Charts of Accounts can be deployed:

- **Local COA:** A Chart of Accounts designed and used exclusively by a single legal entity.
- **Shared COA:** A Chart of Accounts strategically designed for use by multiple legal entities within the organization. This approach promotes consistency in financial recording across entities and significantly simplifies the process of consolidated reporting.

While a COA can be shared across multiple legal entities, it's important to note that only one Chart of Accounts can be assigned to each individual legal entity. This assignment is a critical step performed during the [Ledger Setup](#) for that entity.

Relational Model and Flexibility:

GLS utilizes a modern, relational chart of accounts model. Unlike some legacy systems where analytical segments might be hardcoded directly into the main account number itself, GLS distinctly separates the core [Main Accounts](#) from its associated analytical segments, which are known as [Financial Dimensions](#). User-defined rules, configured within [Account Structure](#), then determine which financial dimensions are valid for specific main accounts and how they must be combined during transaction posting. This flexible and relational structure simplifies the setup and maintenance of Main Accounts and enables dynamic, multi-faceted reporting based on various combinations of these dimensions.

Figure 3.2-1 shows local & shared chart of accounts

Malaysia
Malaysia COA
Mexico
Plan de cuentas Mexicano
Russia
Russian Statutory Chart of Accounts
Yemen
Yemen COA
Shared
Shared Chart of Accounts
Standard
Standard Chart of Accounts

Figure 3.2-1

3.2.1.2. Main Accounts

The **Main Account** is the central element of any Chart of Accounts within GLS and serves as the primary identifier for classifying a financial transaction. Each Main Account represents a specific type of asset, liability, equity, revenue, or expense. These accounts are the primary destinations in the general ledger where the financial impact of transactions is recorded, ultimately forming the account's balance.

Main Account Types

When creating a Main Account in GLS, it must be assigned a **Main Account Type**. This classification is crucial as it dictates the account's behavior within the General Ledger, its specific role in financial statements, and how it is treated during year-end closing processes. The primary Main Account Types available in GLS are:

- **Operating Accounts (Profit and Loss):** This category encompasses **Revenue** and **Expense** accounts. These accounts are used for posting all transactions related to income generation and expenditure incurrence. The net sum of all Operating Accounts for a given period determines the net profit or loss. During the year-end closing process, the balances of these accounts are systematically transferred (rolled over) to the designated year-end result account (typically Retained Earnings), and the Operating Accounts are then reset to zero to begin the new fiscal year.
- **Balance Accounts (Balance Sheet):** This category includes **Asset**, **Liability**, and **Equity** accounts. These accounts record the financial position of the legal entity at a specific point in time, reflecting what the company owns (assets), what it owes (liabilities), and the owners' stake (equity). The balances in these accounts are cumulative and are carried forward to the subsequent fiscal year during the year-end closing process.

Figure 3.2-2 illustrates Main Accounts setup

Main accounts

+ New + New from template Edit Delete			
Main account	Name	Main account type	Main account category
110100	Bank Account - USD	Asset	CURASS
110200	Bank Account - SAR	Asset	CURASS
110300	Bank Account - EUR	Asset	CURASS
110400	Bank Account - Payroll	Asset	CURASS
110500	Petty Cash	Asset	CURASS
110600	Cash in Hand -SAR	Asset	CURASS
111100	Deposits - Cash	Asset	CURASS
111200	Deposits - Check	Asset	CURASS
120100	Bonds or Trust securities	Asset	CURASS
120200	Other Marketable Securities	Asset	CURASS
120300	Bill of Exchange (BOE)	Asset	CURASS
120400	BOE Remitted for Collection	Asset	CURASS

Figure 3.2-2

Main Account Legal Entity Overrides

Even when a Main Account is part of a shared Chart of Accounts used by multiple legal entities, its applicability or active status can vary from one entity to another. The **Legal Entity Overrides** functionality provides administrators with the control to suspend (make inactive) or activate a specific Main Account for particular legal entities. This essential feature ensures that transactions can only be posted to accounts that are relevant and permissible within the operational context of each specific company.

Figure 3.2-3 Main Account Legal Entity Overrides

Legal entity overrides

+ Add Remove			
	Legal entity	Name	Suspended
☒	USRT	Contoso Retail USA	☒

Figure 3.2-3

3.2.1.3. Account Categories

Assigning **Main Account Categories** to Main Accounts is a crucial practice in GLS for enhancing and streamlining financial reporting, particularly when utilizing standard reports and built-in analytical tools. These categories provide a standardized grouping mechanism that sits above the level of individual Main Accounts, offering an additional layer of classification.

Defining appropriate categories for each Main Account allows for quicker design of financial reports and simplifies their ongoing maintenance. When establishing these categories, careful consideration should be given to the level of grouping necessary for effective financial reporting, insightful data analysis, and informed decision-making that is relevant to the organization's specific structure and reporting obligations.

Figure 3.2-4 Main Account Categories

Main account category	Description
CASH	Cash
CASHEQUIV	Cash Equivalents
SHORTTERMINVEST	Short-term investments
AR	Accounts Receivable
INV	Inventory
NOTESREC	Notes Receivables

Figure 3.2-4

3.2.2. Dimensions: The Analytical Segments

In GLS, **Dimensions** serve as powerful analytical tools that significantly extend the capabilities of the traditional Chart of Accounts. They provide additional, user-definable layers of information, or segments, that can be associated with financial transactions. This allows for highly detailed tracking, categorization, and multi-faceted analysis of financial data from various operational and strategic perspectives. Instead of attempting to embed every conceivable analytical segment directly into the Main Account number (a practice common in older systems), GLS dimensions separate this detail. This approach results in a more flexible, manageable, and scalable accounting structure, enabling richer insights.

GLS utilizes several key components to implement this dimensional concept effectively: **Financial Dimensions**, **Dimension Values**, and **Dimension Set**.

3.2.2.1. Financial Dimensions

Financial Dimensions are the configurable building blocks of the dimensional analysis capabilities within GLS. They define the core analytical segments or categories that an organization wishes to track within its accounting structure to gain deeper insights into its financial data. By employing financial dimensions, transactions can be categorized by various attributes—such as departments, projects, cost centers, or geographical regions—without adding excessive complexity to the Chart of Accounts itself.

Purpose and Examples:

Financial Dimensions represent the *types* of analytical breakdowns available for financial data. GLS allows organizations to define *Financial Dimensions* tailored to their specific analytical needs. Common examples organizations often establish include:

- Department
- Cost Center
- Business Unit
- Any other custom segment relevant to the organization's reporting needs.

The strategic use of *Financial Dimensions* enables granular tracking of financial transactions by these specific attributes. This, in turn, supports robust multi-dimensional analysis and significantly enhances financial reporting capabilities, allowing for a more nuanced understanding of business performance

Figure 3.2-5 illustrates basic dimensions setup.

Dimensions

NewDimension Values

Name
Department
Projects
Cost Center

Figure 3.2-5

3.2.2.2. Dimension Values

Dimension Values are the specific, discrete entries or options that populate a given Financial Dimension. They represent the actual data points or members used to categorize individual transactions.

Relationship to Financial Dimensions:

For example, if 'Department' is configured as a *Financial Dimension*, its corresponding Dimension Values would be the list of all valid departments within the organization, such as:

- Sales
- Marketing
- Finance
- Any other defined departments

These values are assigned to transactions during data entry, providing the necessary granularity for detailed operational tracking and comprehensive financial reporting. Maintaining an accurate and well-defined list of Dimension Values for each Financial Dimension is critical for ensuring consistent data capture and enabling meaningful financial analysis.

Figure 3.2-6 dimensions values for department dimension.

Dimension Values

NewSave

Department

Code	Name
101	Sales
102	Marketing
103	Finanace

Figure 3.2-6

Dimension Values Legal Entity Overrides

Similar to the flexibility offered for Main Accounts, the applicability or usage of specific **Dimension Values** can differ across the various legal entities within an organization. The **Legal Entity Overrides** functionality in GLS, empowers administrators to suspend (make inactive) or activate specific values (e.g., a particular department or cost center) for particular legal entities. This ensures that data entry adheres to relevant business rules for each company and that only appropriate dimensional information is captured by restricting the available values, enhancing data integrity and relevance across the organization.

Figure 3.2-7 Dimension value legal entity override.

Legal entity overrides		
+ Add Remove		
☐ Legal entity	Name	Suspended
☒ GLMF	Contoso Entertainment System	✓

Figure 3.2-7

3.2.2.3. Dimension Sets

While Financial Dimensions and their associated Dimension Values define the individual analytical segments available, **Dimension Sets** are predefined combinations of these *Financial Dimensions* (often also including the Main Account) used primarily to streamline reporting and inquiry processes. They define how GLS should aggregate and display financial data in various General Ledger views and standard reports, such as the *Trial Balance*.

Purpose and Benefits:

Dimension Sets allow users to quickly generate reports and inquiries focused on specific, commonly used analytical combinations without needing to manually select the desired dimensions each time. This significantly streamlines the process of financial analysis, ensuring consistency in reporting views and improving efficiency. Essentially, Dimension Sets determine which combinations of financial dimensions are used when calculating and displaying balances in relevant reports and on-screen inquiries.

By enabling the grouping of multiple dimensions into a reusable set, organizations can facilitate easier and more consistent reporting and analysis. This helps maintain detailed and accurate financial records while simplifying the process of extracting meaningful insights from the data.

Example: Using Dimension Set in Trial Balance Report

Imagine the finance department frequently needs to review account balances segmented by both *Main Account* and *Business Unit*. To achieve this efficiently in GLS, they would typically create a financial *Dimension Set* that combines these two segments.

Scenario 1: Analysis by Main Account and Business Unit

1. **Create a Dimension Set:** Configure a financial *Dimension Set* that includes both the 'Main Account' and the 'Business Unit' *financial dimension*. This set defines the desired reporting structure. For instance, it could be named "MA+BU".

Figure 3.2-8 illustrates setting up this Dimension Set

Financial dimension sets

Financial dimension set

MA+BU

Name

MainAccount+BusinessUnit

Financial dimensions

AVAILABLE FINANCIAL DIMENSIONS

☒ ItemGroup

Project

Store

Terminal

Worker

ServiceLine

Department

CostCenter

→

←

⇄

⇄

SELECTED FINANCIAL DIMENSIONS

☒ MainAccount

BusinessUnit

↑

↓

Figure 3.2-8

2. **Generate Report:** When running the *Trial Balance* report (or a similar inquiry screen), the user would select the **"MA+BU" Dimension Set** as a parameter. GLS will then calculate and display balances segmented by each unique combination of *Main Account* and *Business Unit* for which transactions exist. The resulting report structure will typically show distinct columns and rows for **Main Account** and **Business Unit**.

Figure 3.2-9 illustrates selecting the Dimension Set in report parameters and the resulting data presentation.

Trial balance

Standard view ▾

Parameters

DATE RANGE

From date: 1/1/2016 To date: 12/31/2016 Date interval: ▾

DATA TO INCLUDE

Financial dimension set: MA+BU Posting layer: Current

Calculate balances

Filter

○ MainAccount	BusinessUnit	Name	Opening balance	Debit	Credit	Closing balance
○ 110110	001	Bank Account - USD-Home	43,520,745.35	47,090,999.23	104,007,683.53	-13,395,938.95
110110	002	Bank Account - USD-Auto	5,563,808.76	11,141,380.18	1,887,995.66	14,817,193.28
110130	001	Bank Account - EUR-Home	80,699.39	0.00	0.00	80,699.39
110130	002	Bank Account - EUR-Auto	53,799.60	0.00	0.00	53,799.60
110160	001	Bank Account - Payroll-Home	95,254.20	5,915,000.00	6,968,685.40	-958,431.20
110160	002	Bank Account - Payroll-Auto	95,324.11	1,110,000.00	0.00	1,205,324.11
130100	001	Accounts Receivable - Domestic-Home	5,456,622.15	50,056,164.89	47,540,262.73	7,972,524.31
130100	002	Accounts Receivable - Domestic-Auto	546,966.40	3,804,936.36	3,872,420.16	479,482.60
130300	001	Accounts Receivable - Not Invoiced-Home	0.00	48,683,208.00	47,626,429.00	1,056,779.00
130300	002	Accounts Receivable - Not Invoiced-Auto	0.00	3,406,680.00	3,322,680.00	84,000.00
130300	001	Intercompany Receivable - USMF/DEMF-Home	341,375.00	3,843,333.00	3,888,735.50	303,751.50
Totals						
Debit total	Credit total	Balance				
656,448,927.63	656,448,927.63	0.00				

Figure 3.2-9

Scenario 2: Enhanced Detail with an Additional Dimension

For even greater analytical detail, such as analyzing by *Main Account*, *Business Unit*, and *Department*, users can simply create another Financial Dimension Set.

1. **Create a New Dimension Set:** Configure an additional *Dimension Set* that includes 'Main Account', 'Business Unit', and 'Department'. This might be named **"MA+BU+DEPT"**.

Figure 3.2-10 illustrates the setup of this more detailed Dimension Set

Financial dimension sets

Financial dimension set: MA+BU+DEPT Name: MainAccount+BusinessUnit+...

Financial dimensions

AVAILABLE FINANCIAL DIMENSIONS		SELECTED FINANCIAL DIMENSIONS
○ ItemGroup	→	○ MainAccount
Project	←	BusinessUnit
Store	⇌	Department
Terminal	⇌	
Worker	⇌	
ServiceLine		
CostCenter		
Retailchannel		

Figure 3.2-10

2. **Generate Report with New Set:** Run the *Trial Balance* report again, this time selecting the "**MA+BU+DEPT**" *Dimension Set*. The report will now include information segmented by **Department** as well, providing a more granular view of balances based on all three selected components.

Figure 3.2-11 illustrates the *Trial Balance* report reflecting this three-dimension set

Trial balance

Standard view ▾

Parameters

DATE RANGE

From date: 1/1/2016 To date: 12/31/2016 Date interval: ▾

DATA TO INCLUDE

Financial dimension set: MA+BU+DEPT Posting layer: Current

Calculate balances

Filter

MainAccount	BusinessUnit	Department	Name	Opening balance	Debit	Credit	Closing balance
110110	001		Bank Account - USD-Home-	46,031,364.18	47,090,999.23	102,771,634.43	-9,649,271.02
110110	001	022	Bank Account - USD-Home-Sales & Marketing	-438,784.96	0.00	254,165.62	-692,950.58
110110	001	023	Bank Account - USD-Home-Operations	-994,340.24	0.00	193,656.46	-1,187,996.70
110110	001	024	Bank Account - USD-Home-Finance	-326,021.30	0.00	133,148.14	-459,169.44
110110	001	025	Bank Account - USD-Home-IT Department	-284,203.72	0.00	193,656.46	-477,860.18
110110	001	026	Bank Account - USD-Home-Human Resources	-414,935.00	0.00	400,913.74	-815,848.74
110110	001	027	Bank Account - USD-Home-Legal	-52,333.61	0.00	60,508.68	-112,842.29
110110	002		Bank Account - USD-Auto-	7,130,188.19	3,872,420.16	1,242,471.36	9,760,136.99
110110	002	022	Bank Account - USD-Auto-Sales & Marketing	-324,351.31	7,268,960.02	169,443.34	6,775,165.37
110110	002	023	Bank Account - USD-Auto-Operations	-663,435.57	0.00	129,104.98	-792,540.55
110110	003	024	Bank Account - USD-Auto-Finance	317,347.01	0.00	88,755.78	306,112.60
Totals				Debit total	Credit total	Balance	
				656,448,927.63	656,448,927.63	0.00	

Figure 3.2-11

This example highlights how Dimension Sets in GLS provide powerful flexibility in tailoring reporting views on top of the structured data captured using Main Accounts and Financial Dimensions, empowering users to analyze financial data at various levels of granularity to suit their specific needs.

3.2.3. Account Structure

The **Account Structure** is a critical configuration in GLS that defines the rules and allowable combinations of Main Accounts and Financial Dimensions valid for posting to the General Ledger within a specific legal entity. It serves as the primary mechanism that links an organization's *Main Accounts* with its chosen *Financial Dimensions*, and crucially, enforces data entry validation during transaction processing to ensure adherence to these predefined rules.

Figure 3.2-12 list of *Account Structures*.

Name	Description	Status	Segments
Manufacturing JBRIC	Manufacturing JBRIC	Active	MainAccount
Manufacturing P&L	Manufacturing Profit and Loss	Active	MainAccount-BusinessUnit-Department-CostCenter-ItemGroup
Manufacturing PA - RU	Manufacturing PA - RU	Active	MainAccount-ExpenseAndIncomeCode-Worker
Manufacturing PI B/S	Manufacturing Process Industries ...	Active	MainAccount-BusinessUnit-Department
Manufacturing PI P&L	Manufacturing Process Industries ...	Active	MainAccount-BusinessUnit-Department-CostCenter-ProductGroup
Manufacturing Saudi Arabia	Manufacturing Saudi Arabia with BU	Active	MainAccount-BusinessUnit
Manufacturing Thailand	Manufacturing Thailand with Tax b...	Active	MainAccount-Department-Taxbranch
Manufacturing_Malaysia	Manufacturing_Malaysia	Active	MainAccount-Department-BusinessUnit
Mexico	Mexico	Active	MainAccount-CostCenter-Department
Retail - RU	Retail - RU	Active	MainAccount-BusinessUnit-Department-CostCenter-ItemGroup-Retail
Retail B/S - FR	Retail Balance Sheet - France	Active	MainAccount-BusinessUnit-Department
Retail B/S - US	Retail Balance Sheet - United States	Active	MainAccount-BusinessUnit-Department

Figure 3.2-12

Core Concept & Configuration

Account Structures are fundamental to ensuring and maintaining data integrity within the financial records managed by GLS. They achieve this by dictating several key aspects of how financial data is captured and validated:

- **Dimensional Requirements:** They specify which *Financial Dimensions* are required, optional, or not allowed for particular *Main Accounts* or ranges of *Main Accounts*.
- **Dimension Order:** They can define the order in which *Financial Dimensions* should be entered, contributing to data consistency.
- **Valid Combinations:** They control which combinations of specific dimension values can be used together with a *Main Accounts*, preventing illogical or invalid pairings.

Flexibility and Sharing:

GLS provides the flexibility to set up multiple *Account Structures*. This capability is typically leveraged to align different rule sets with distinct ranges of *Main Accounts*. For example, an organization might establish separate structures for its **Balance Sheet** accounts versus its **Profit and Loss** accounts, each with unique dimensional requirements. Once defined, these *Account Structures* are assigned to a specific legal entity's Ledger. Furthermore, to promote standardization and simplify maintenance across an enterprise, *Account Structures* can be shared among multiple legal entities, particularly if those entities utilize the same *Chart of Accounts* (COA).

Figure 3.2-13 illustrates setting up Account Structure segments for a range of main accounts.

Segments and allowed values

[+ Add](#)
[Remove](#)
[Duplicate](#)
[Validate](#)
[Add segment](#)
[Segment actions](#)

☐ Only show overlapping rows

	MainAccount	BusinessUnit	Department
☐	100000..599999	"";003..004	"";022..028

Figure 3.2-13

Validation During Transaction Entry:

When a user enters a transaction that will impact the General Ledger, GLS actively validates the complete account string—which comprises the Main Account plus any associated Financial Dimensions—against all Account Structures assigned to that legal entity's ledger. If the entered combination does not conform to the rules defined within any of the active Account Structures, the system will prevent the transaction from being posted. This real-time validation step is crucial for ensuring that financial data is consistently captured with the required analytical detail and accuracy.

Importance of Account Structures:

In summary, Account Structures are essential for controlling the form, quality, and integrity of an organization's financial data. They play a vital role in preventing data entry errors and ensuring that all posted data aligns with the established requirements necessary for consistent, meaningful financial reporting and in-depth analytical insights.

Example: Practical Application of Account Structure

To illustrate a common best practice for configuring account structures, let's consider a company aiming to achieve specific analytical tracking for different parts of its *Chart of Accounts* (COA):

- For its **Balance Sheet accounts** (e.g., main accounts ranging from 100000 through 399999), the company wants to track transactions primarily at the Main Account level and by a 'Business Unit' financial dimension.
- For its **Revenue and Expense accounts** (e.g., main accounts ranging from 400000 through 999999), the company requires more granular tracking, utilizing 'Business Unit,' 'Department,' and 'Cost Center' financial dimensions.

In this scenario, it would be highly recommended to configure two distinct *Account Structures* and assign both to the company's ledger:

1. One *Account Structure* specifically designed for the **Balance Sheet** accounts, enforcing the 'Business Unit' dimension.

Figure 3.2-14 illustrates Balance sheet account structure configuration

Main account	Business unit
100000..399999	x ₁ ''''

Figure 3.2-14

2. A second *Account Structure* tailored for the **Profit and Loss** accounts, enforcing the 'Business Unit,' 'Department,' and 'Cost Center' dimensions.

Figure 3.2-15 illustrates Profit and loss account structure configuration

Main account	Business unit	Department	Cost center
400000..999999	x ₁ ''''	x ₂ ''''	x ₃ ''''

Figure 3.2-15

This separation of structures allows for the appropriate and specific dimensional rules to be applied automatically based on the nature of the main account being used in any given transaction, ensuring both compliance and the desired level of analytical detail.

3.2.4. Case Study: CompanyX Accounting Structure Design

To truly appreciate the power and flexibility of the core accounting structure components within GLS, let's explore how they can be applied in a practical, real-world scenario. This case study will illustrate how a well-designed structure can address specific business requirements and overcome common financial reporting challenges.

Introducing CompanyX

Consider **CompanyX**, a dynamic provider of online financial services. Their core offerings include various money transaction services and bill payment solutions. CompanyX interacts with three primary types of users (*referred to as parties in their system*): **Customers**, **Agents**, and **Merchants**. Their diverse range of services is also categorized by its fundamental nature.

For instance, their money wire transaction services take different forms, such as remittances sent via an internal network or through external providers. Money transactions also encompass deposits into a party's account or withdrawals from it. Additionally, CompanyX offers payment facilitation for a variety of common bills, including phone, electricity, water, college fees, and general store payments.

The Challenge: Achieving Sufficient Detail for Tracking and Reporting

Let's break down the business operations for CompanyX. At the heart of every operation is a **Party** and a **Service**. CompanyX recognized the fundamental need to record every transaction by identifying which party initiated it and for what specific service. Furthermore, they needed to track individual party balances and generate detailed transaction statements for these parties.

To meet these basic requirements, CompanyX initially considered using two primary dimensions for each transaction:

- **Party Dimension:** (e.g., King Robert, Saski Gojo, Mohamed Saleem)
- **Service Dimension:** (e.g., Western Union Money Transfer, Electricity Payment, Phone Bill Payment)

While this setup allowed for basic transaction tracking by individual party and service, a closer examination of CompanyX's business model revealed a critical gap. Their parties are naturally classified into three distinct types (**Customers, Agents, Merchants**), and their services fall into broader categories (**Money Transactions & Bill Payments**).

This led to a significant problem: the business's analytical needs extended far beyond this basic level of detail. The management team required financial data aggregated by these crucial classifications to make informed strategic decisions. Specifically, they needed to:

- Generate financial statements and performance reports aggregated by **Party Type** (e.g., comparing total revenue from all Customers versus all Agents versus all Merchants).
- Monitor total transaction volumes and revenues aggregated by **Service Type** (e.g., assessing the total financial impact of all Money Transactions versus all Bill Payments).

Using only the "Party" and "Service" dimensions made it impossible to easily obtain these essential summary views. With such a basic setup, the transactional data, while detailed at the individual party/service level, would lack the broader classifications needed for aggregation. This means that to get the required summary reports (e.g., by Party Type or Service Type), they would be forced into inefficient manual aggregation processes or complex, error-prone workarounds, likely performed outside the GLS. This inherent lack of sufficient classification in a simplistic structure directly limits effective financial analysis and strategic decision-making, leading to understandable frustration for both the finance team and the managers who depended on timely, high-level insights alongside transaction-level detail.

The Solution: Leveraging GLS's Core Accounting Structure

Fortunately, GLS provides a comprehensive suite of tools to build a flexible and richly detailed accounting structure that directly addresses CompanyX's reporting challenges. By strategically defining additional Financial Dimensions to classify party types and service types, and then leveraging the integrated power of Account Structures and

Dimension Sets, CompanyX could capture financial data at the precise level needed for both detailed operational tracking and insightful high-level aggregation.

The essential additional dimensions identified were:

- **Party Type Dimension** (with values like: Customer, Agent, Merchant)
- **Service Type Dimension** (with values like: Money Transaction, Bill Payment)

With these four dimensions (Party Type, Service Type, Party, Service) working in concert with the Main Account, a transaction could now be recorded with all the necessary contextual detail. For instance, a transaction fee related to King Robert (a Customer) using the Western Union Money Wire service (a Money Transaction) could now be conceptually tagged as:

- **Main Account:** 4010 - Transaction Fees
- **Party Type:** Customer
- **Service Type:** Money Transaction
- **Party:** King Robert
- **Service:** Western Union Money Transfer

But how is this detailed structure actually configured, enforced during data entry to ensure consistency, and then utilized for reporting within GLS? Let's walk through the key steps CompanyX took to implement this solution by configuring the core GLS accounting components.

Solution Walkthrough: Implementing the GLS Structure

Here's a breakdown of how CompanyX utilized the interconnected accounting structure components within GLS to overcome their initial barriers and achieve the desired granularity and reporting capabilities:

1. Chart of Accounts (COA) & Main Accounts:

- **Foundation:** CompanyX first established a comprehensive *Chart of Accounts* (COA), listing all their necessary financial accounts
- **Defining Main Accounts:** They then defined specific *Main Accounts* to represent their core financial activities and classifications. Key examples relevant to their business include:
 - **4010 - Transaction Fees:** (Revenue - Operating Account)
 - **4020 - Bill Payment Fees:** (Revenue - Operating Account)
 - **2050 - Party Held Funds:** (Liability - Balance Account, to track funds held on behalf of parties)
 - **5020 - Processing Costs:** (Expense - Operating Account, for costs related to service delivery)
- This careful definition of *Main Accounts* was the crucial first step in accurately categorizing the financial impact of their diverse transactions.

2. Financial Dimensions & Dimension Values:

- **Adding Analytical Depth:** To introduce the necessary analytical layers that were missing from their initial, simpler dimension setup, CompanyX defined additional *Financial Dimensions* and their corresponding *Dimension Values*. These act as descriptive analytical tags that are attached to transactions.
- **Key Dimensions Defined:** They configured the following *Financial Dimensions* in GLS to capture the full required detail:
 - **Financial Dimension: PartyType** (with Dimension Values: Customer, Agent, Merchant)
 - **Financial Dimension: ServiceType** (with Dimension Values: Money Transaction, Bill Payment)
 - **Financial Dimension: Party** (with Dimension Values: King Robert, Saski Gojo, Mohamed Saleem)
 - **Financial Dimension: Service** (with Dimension Values representing specific service names: Western Union Money Transfer, Electricity Payment, Phone Bill Payment)
- These four dimensions collectively provided the granular detail needed to categorize every transaction by all relevant attributes, crucially including the 'type' classifications essential for management reporting.

3. Account Structures:

- **Ensuring Data Integrity and Detail:** To guarantee that transactions are always recorded with the required level of detail and that only valid combinations of *Main Accounts* and dimensions are used, CompanyX configured robust *Account Structures* in GLS. These structures define the precise rules for how dimensions must be employed when posting to specific *Main Accounts* or ranges of *Main Accounts*.
- **Example Rule for Revenue Accounts:** An *Account Structure* assigned to their revenue accounts (e.g., 4010 - Transaction Fees, 4020 - Bill Payment Fees) was configured to:
 - **Require all four dimensions:** *PartyType*, *ServiceType*, *Party*, and *Service*. This rule prevents transactions from being posted to revenue accounts without specifying all these critical pieces of information, thus ensuring the data needed for detailed management reports is always captured.
 - **Define allowed combinations:** Specify valid pairings (e.g., Service Type 'Money Transaction' is only valid with specific Services like 'Western Union Money Wire', not with 'Electricity Payment').
 - **Specify dimension order (optional but good practice):** Define the preferred entry order (e.g., MainAccount-PartyType-ServiceType-Party-Service) for consistency.
- **Example Rule for Balance Sheet Accounts:** For balance sheet accounts like 2050 - Party Held Funds, the *Account Structure* might only require the *Party* dimension to track individual party balances, reflecting that broader *Party Type* or *Service Type* details are not directly relevant for the balance itself.
- This powerful enforcement mechanism within *Account Structures* ensures high data integrity at the point of entry, guaranteeing that comprehensive and accurate detailed data exists within the GLS system

4. Transaction Recording Example (Illustrating the Detail):

- Consider when **King Robert** (who is a **Customer**) uses the **Western Union Money Transfer** service (which is a **Money Transaction** type). The fee transaction associated with this service is posted using an account string that is validated by the relevant *Account Structure* in GLS.
- The full account string recorded in the ledger would look something like this (assuming a hyphen '-' as the separator defined in GLS):
4010-Customer-MoneyTransaction-KingRobert-WesternUnionMoneyTransfer
- This single transaction line now inherently contains not only the base financial posting to Main Account 4010 but also rich analytical tags for **PartyType**, **ServiceType**, **Party**, and **Service**.

5. Dimension Sets for Flexible Reporting:

- **Output and Analysis Focus:** While *Account Structures* govern the rules for data *input*, *Dimension Sets* in GLS are primarily used for data *output* and analysis. They define predefined combinations of dimensions (often including the *Main Account*) for use in generating reports and performing on-screen inquiries, such as viewing a *Trial Balance*.
- **Meeting Management's Reporting Needs:** To directly address the management team's reporting requirements, CompanyX created several key *Dimension Sets* in GLS:
 - **MA+PartyType:** Combining *Main Account* and *Party Type* (for total revenue/expense by party type).
 - **MA+ServiceType:** Combining *Main Account* and *Service Type* (for total revenue/expense by service type).
 - **MA+Party:** Combining *Main Account* and *Party* (essential for tracking individual party balances, particularly relevant for the Liability account 2050 - Party Held Funds).
 - **MA+PartyType+ServiceType:** Combining *Main Account*, *Party Type*, and *Service Type* for cross-functional analysis.
 - **Full Analysis Set:** A comprehensive set combining *Main Account* and all four dimensions, used for the most granular reports or detailed transaction statements.
- **Generating Insightful Reports:** When end-users, such as finance analysts or managers, generate reports like the *Trial Balance*, they simply select the appropriate *Dimension Set* (e.g., **MA+PartyType**). GLS then automatically calculates and displays balances grouped according to the dimensions included in that set, precisely matching the manager's requirements for aggregated views.

*The various setup screens and report views that **CompanyX** would utilize in **GLS** to implement this solution are illustrated in **Figure 3.2-1** through **Figure 3.2-15**, as detailed in the preceding sections covering **Chart of Accounts**, **Main Accounts**, **Financial Dimensions**, **Dimension Values**, **Dimension Sets**, and **Account Structures**.*

Outcome: Transformation to Powerful Analytical Capability

By thoughtfully designing and implementing this structured accounting setup within GLS, CompanyX successfully transitioned from a state of reporting frustration and limited insight to one of powerful, flexible analytical capability. The strategic combination of:

- Detailed **Financial Dimensions** capturing key business attributes,
- Robust **Account Structures** ensuring data integrity and completeness at the point of entry, and
- Flexible **Dimension Sets** enabling diverse and user-friendly reporting views, allowed CompanyX to accurately track transactions, manage balances effectively, and generate both highly detailed and appropriately aggregated financial reports as needed.

This robust accounting structure transformed their GLS system from a basic ledger into a strategic tool for deeply understanding business performance from multiple perspectives. This, in turn, empowered the finance team to become truly valued partners in organizational decision-making, providing timely and relevant insights to drive the business forward.

3.3. Ledger Setup

The **Ledger setup** within GLS establishes the fundamental framework and operational rules for all journal entry transactions processed by the system for a specific legal entity. It is a mandatory prerequisite; journal entries can only be created after the ledger for the relevant legal entity has been appropriately configured. Each legal entity operating within GLS **must** have its own distinct ledger, which serves as the comprehensive basis for defining all transaction-related rules and financial structures specific to that entity.

3.3.1. Ledger Core Configuration

The primary configuration of a ledger involves several critical components that must be meticulously defined for each legal entity. These components, when established correctly, collectively ensure the integrity, accuracy, and proper functioning of the financial data and processes for that entity within GLS.

3.3.1.1. Linking Chart of Accounts to the Ledger

A cornerstone of any legal entity's ledger setup in GLS is its direct association with a **Chart of Accounts** (COA) (**COA**). The COA provides the structured master list of all main accounts available for recording the entity's financial transactions. Each ledger is linked to one, and only one, *Chart of Accounts*. During the ledger setup process for a legal entity, the designated COA must be selected. It is also at this stage that the specific *Account Structure(s)* to be used with this COA for this ledger are determined and linked. These elements work in tandem to govern how transactions are posted with the appropriate financial dimensions.

Sharing Chart of Accounts:

GLS offers the flexibility for multiple ledgers—across different legal entities—to utilize the same shared **COA**. This capability is highly beneficial as it promotes standardized financial reporting across an organization and can significantly simplify consolidation efforts. Sharing is achieved by selecting the same COA during the ledger configuration for each relevant legal entity.

Handling Exceptions with Legal Entity Overrides:

For organizations where most legal entities share a common **COA** but require minor deviations for specific accounts, the **legal entity override** feature available in GLS for **Main Accounts** can be particularly useful. This allows for centralized management of the primary COA while accommodating exceptions at the individual legal entity level, simplifying long-term maintenance compared to creating entirely separate COAs for minor differences.

Important Note: Once a Chart of Accounts has been selected for a legal entity's ledger and financial transactions have been posted, the COA linked to that ledger **cannot be changed**. This unchangeable nature highlights the utmost importance of thorough planning and accuracy during the initial setup phase.

3.3.1.2. Assigning Account Structures to the Ledger

In conjunction with linking a **Chart of Accounts**, each legal entity's ledger must be configured with one or more **Account Structures**. These structures are pivotal as they define the allowed combinations of **main accounts** and associated **financial dimensions** (e.g., Department, Cost Center, Business Unit) that can be utilized when transactions are posted to this ledger. The primary role of assigning *Account Structures* to the ledger is to enforce data integrity for that legal entity and enable detailed, segmented financial analysis.

Sharing Account Structures:

Similar to the **Chart of Accounts**, the same **Account Structures** can be adopted and assigned to more than one legal entity's ledger. This practice fosters consistency in dimensional reporting practices across the organization and is achieved by selecting the relevant structures during each ledger's configuration.

Constraint for Multiple Account Structures:

If multiple **Account Structures** are assigned to a single ledger, they must not have overlapping rules for the same **main account** ranges. For instance, if one *Account Structure* mandates a 'Business Unit' dimension for main accounts 1000 through 1999, another *Account Structures* assigned to the same ledger cannot also define rules (e.g., requiring a 'Department' dimension) for any main accounts within that 1000-1999 range, as this would create ambiguity.

Careful design of *Account Structures* is therefore necessary to ensure that each main account, when used within this ledger, is governed by a clear and unique set of dimensional rules.

3.3.1.3. Assigning Fiscal Calendar (Ledger Calendar Creation)

A **Fiscal Calendar** is another critical component that must be assigned during the ledger setup for each legal entity. This calendar defines the financial periods (e.g., months, quarters) and the fiscal years that the organization uses for its accounting and reporting cycles. While each legal entity's ledger must be linked to a *Fiscal Calendar*, it is common for multiple entities to share the same master *Fiscal Calendar*.

The Ledger Calendar Concept:

When a **Fiscal Calendar** is chosen and assigned to a specific ledger in GLS, the system effectively creates a distinct, entity-specific iteration known as the **Ledger Calendar**. This *Ledger Calendar*, while based on the master *Fiscal Calendar*, is unique to that particular legal entity's ledger. It provides the crucial flexibility to independently manage the status of its accounting periods and control module-level posting access for each period, without affecting other entities. The detailed management of this *Ledger Calendar* will be explored further.

3.3.1.4. Setting Ledger Currency

The Ledger setup is also where the essential currency parameters for financial transactions are controlled and defined.

Accounting Currency:

A primary specification is the **accounting currency**. This is the currency that GLS will consistently use for all entries recorded in the 'Accounting currency' column on all general ledger vouchers for this ledger, forming the primary monetary basis of the legal entity's financial records.

Transaction Currency and Automatic Conversion:

If transactions are initiated and posted in a currency different from this defined accounting currency—a currency known as the **transaction currency**—GLS is designed to automatically handle the conversion. It will convert the transaction amount from the transaction currency into the designated accounting currency on the voucher, applying the relevant exchange rates effective at the time of the transaction.

3.3.1.5. Setting Ledger Exchange Rate Type

To enable the automatic conversion of transaction currency amounts to the accounting currency for this ledger, an **accounting currency exchange rate type** must be specified. This setting directs the system to utilize a particular set of pre-configured exchange rates for these conversions.

Important Note Related to Multi-Currency: For comprehensive and accurate accounting of transactions posted in currencies different from the accounting currency, the **Automated Posting Accounts** for currency revaluation, gains, and losses must also be properly configured. While defined centrally, their correct setup is essential for robust multi-currency operations governed by this ledger.

Figure 3.3-1 illustrates a Ledger setup for a legal entity.

Ledger

Description

Chart of accounts

Fiscal calendar

Contoso Entertainment Syste ...

Shared

Fiscal

Account structures

+ Add

Remove

Configure account structures

Account structure	Name
Manufacturing B/S	Manufacturing Balance Sheet
Manufacturing P&L	Manufacturing Profit and Loss
Statistical	Statistical

Currency

Accounting currency

Accounting currency exchange ra...

USD

Default

Figure 3.3-1

3.3.2. Ledger Calendar

The **Ledger Calendar** within GLS is a critical tool for exercising precise management control over the status of fiscal periods for each specific legal entity. It directly dictates whether financial transactions can be posted to particular periods, thereby ensuring financial integrity and strict adherence to period-end closing schedules.

Distinction from Fiscal Calendar and Decoupling

While a foundational **Fiscal Calendar** (as introduced in the setup of the **Ledger Core Configuration**) defines the overall structure of the **Fiscal Year**—such as its start date and the length of each period—and can be shared across multiple legal entities, the **Fiscal Calendar** itself does not manage period statuses. This separation is a deliberate and important design feature in GLS. Because different legal entities within an organization often have varying timelines and requirements for their period-end closing activities, attempting to manage period statuses directly on a shared **Fiscal Calendar** would be impractical and restrictive.

Therefore, when a **Fiscal Calendar** is assigned to a legal entity's ledger (as part of the **Ledger Core Configuration**), GLS effectively creates an independent, entity-specific iteration known as the **Ledger Calendar** for that particular ledger. This crucial decoupling ensures that each legal entity can manage its period states (e.g., *Open*, *On Hold*, *Closed*) independently and flexibly, without impacting any other legal entities that might be utilizing the same underlying base **Fiscal Calendar**. This capability is essential for effective and agile financial operations, especially in a multi-entity environment managed within GLS.

Fiscal Period States within the Ledger Calendar

Within the Ledger Calendar established for a legal entity in GLS, each individual fiscal period can be set to one of the following three distinct states, controlling its transactional accessibility:

- **Open:**
 - **Function:** The period is active and fully allows for the posting of new financial transactions.
 - **Usage:** This is typically the default status for newly created fiscal periods within the Ledger Calendar, signifying readiness for normal business operations.
- **On Hold:**
 - **Function:** This status temporarily prevents the posting of new transactions to the period without permanently closing it.

- **Usage:** It is often utilized as a control measure during period-end reconciliation activities, before final adjustments are made, or for other short-term pauses in transaction processing for a specific period. A period placed 'On Hold' in GLS can be subsequently changed back to 'Open' if further postings are required, or it can eventually be transitioned to 'Closed'.
- **Closed:**
 - **Function:** This status permanently prevents any further transaction postings to the period.
 - **Usage:** Once a period in the Ledger Calendar is set to 'Closed,' it **cannot be reopened**. This state is therefore typically applied only after all period-end activities—including reconciliations, necessary adjustments, and final financial reporting for that period—have been thoroughly completed and the period is considered definitively finalized.

Figure 3.3-2 illustrates how ledger calendar manages fiscal periods states.

Filter

Calendar

Fiscal

Fiscal year

2024

Opening

1/1/2024

1/1/2024

Period 1

1/1/2024

1/31/2024

Period 2

2/1/2024

2/29/2024

Period 3

3/1/2024

3/31/2024

Standard view

Ledger calendars

CALENDAR

Calendar

Fiscal

Description

Fiscal Year

FISCAL YEAR

Start date

1/1/2024

End date

12/31/2024

FISCAL PERIOD

Type

Operating

Legal entities

Update period status

	Legal entity	Period status
☒	USMF	Open
☐	GLMF	Open
☐	GBSI	Open
☐	GLCO	Open
☐	DEMF	Open
☐	USRT	Open

Figure 3.3-2

3.4. Transactional Configuration

With the foundation of the organizational, fiscal, and accounting structure now established in the preceding sections, the **Transactional Configuration** area in GLS focuses on setting up the core mechanisms and rules that govern how day-to-day financial transactions are recorded and processed within the system. This area is pivotal for ensuring efficiency and accuracy in all transactional activities. Key components configured here include defining how **journals** operate and how unique identifiers **number sequences** are assigned to transactions. Properly configuring these elements is essential for the smooth execution of an organization's financial operations using GLS.

3.4.1. Journal Setup

In GLS, a **journal** serves as a fundamental worksheet or a temporary holding area where financial transactions are meticulously entered, reviewed, and validated before being formally posted to the General Ledger. Properly configured journals are essential tools that enable users to manage and record various types of postings efficiently, accurately, and with appropriate controls.

To effectively utilize journals within GLS, several prerequisite configurations must be in place, including the completed setup of the relevant legal entity's ledger, a clear definition of journal names (which dictate their purpose and behavior), and the associated posting rules. The journal setup itself encompasses defining these journal names, their types, how voucher numbers are generated, and specific controls related to user access, posting restrictions, and manual approvals.

3.4.1.1. Journal Names

The creation and assignment of **Journal Names** is a cornerstone of journal processing in GLS. Before any general journal entry or specialized transaction can be initiated, a corresponding *Journal Name* must be established. This *Journal Name* not only provides a unique identifier but also dictates crucial aspects of the journal's functionality, including its **Journal Type** (which determines its valid use cases within GLS) and often, specific controls and validation rules.

Purpose and Best Practices:

Journal Names allow for the segregation and specialized handling of different kinds of financial entries. It is a highly recommended best practice to define distinct *Journal Names* for each specific purpose or type of financial activity. This targeted approach offers several advantages:

- **Clarity and Organization:** Separate Journal Names (e.g., 'General Journal', 'Accrual Adjustments', 'Intercompany Postings', 'Error Corrections', 'Travel Expenses') make it easier to identify, track, and report on different categories of transactions.
- **Directing Transactions to Posting Layers:** A key configuration aspect of a *Journal Name* is its assignment to a specific **Posting Layer** (such as "Current", "Budget" or "Tax" layer). This dictates the accounting layer onto which all transactions processed through that journal will be recorded, enabling segregated reporting and specialized financial analysis.
- **Data Entry Control:** Each *Journal Name* can be tailored with specific controls (such as restrictions on account types or dimensions that can be used, as detailed later in **Journal Controls**) to make data entry for its intended purpose both streamlined and accurate. For example, a 'Travel Expenses' journal might be configured to allow postings only to specific expense accounts.
- **Targeted User Access:** Access to use specific *Journal Names* can often be managed, ensuring that only authorized users can create entries for sensitive or specialized journals. (*This relates to **Private Journal** and **Posting Restrictions** which will be detailed later*).
- **Manual Approval Specification:** For journals requiring an additional layer of oversight, the *Journal Name* setup can designate that entries require manual approval before posting, routing them to specific users or groups for review.

By thoughtfully defining *Journal Names*, financial leaders and system administrators in GLS gain granular control over data entry validation, can restrict posting access for specific journals to authorized users or groups, and can

define manual approval requirements for selected *Journal Names*, ensuring necessary oversight for certain types of transactions. This setup is crucial for maintaining a well-organized, secure, and efficient journal entry process.

Journal States (Manual Journals):

For manual journal entries (those entered directly by users), GLS supports a lifecycle represented by various states before a journal is permanently posted. These states can reflect whether a journal is pending action, awaiting review (if manual approval is configured for its *Journal Name*), or has been finalized. Common states include:

- **New:** The journal has been created, and lines are being entered or modified by the originator.
- **Submitted for Approval:** If the associated *Journal Name* is configured for manual approval, this state indicates the journal has been completed by the originator and is now pending review by a designated approver or approval group.
- **Approved:** The journal has been reviewed and approved by the designated approver(s) and is now ready for posting.
- **Rejected:** The journal has been reviewed but not approved. It may be sent back to the originator for correction or cancellation.
- **Posted:** The journal (either not requiring approval, or having been approved) has been successfully validated and its transactions are permanently recorded in the General Ledger.

Voucher Series Prerequisite:

It is essential to ensure that the necessary voucher Number Sequences are set up and correctly assigned within the *Journal Name* configuration before journals can be effectively used. This ensures that every posting receives a unique, system-generated voucher ID, which is critical for audit trails and transaction tracking.

Figure 3.4-1 illustrates a list of configured Journal Names

Name	Description
Allocation	Ledger allocations
APInvApp	AP Invoice Approval
APInvoice	AP Invoice
APInvReg	AP Invoice Register
ARCnsmp	AR Consumption journal
Broker	Broker Liability
Budget	Budget Appropriation
CheckRev	Check Reversal
Claim	AR Claim Journal
CustPay	Customer Payment
GenJrn	General Journal
GENLease	Monthly Lease Journal
IntJrn	Intercompany Journal
Payroll	Payroll Journal
PerJrn	Periodic Journal
PrjJrn	Project Journal

Figure 3.4-1

3.4.1.2. Journal Types

A crucial attribute assigned when defining a *Journal Name* in GLS is its **Journal Type**. The *Journal Type* is a system-defined classification that dictates the fundamental nature of the transactions that can be recorded using that journal and, critically, where and how that journal can be utilized within the broader GLS application. Selecting the correct *Journal Type* is essential as it often enables specific functionalities, integrations, or controls relevant to the kind of transactions being processed.

Purpose and Significance of Journal Types:

The primary purpose of assigning a Journal Type is to:

- **Enforce Intended Use:** The *Journal Type* fundamentally restricts the journal to its designated purpose, ensuring that, for example, a journal configured for Customer Payment cannot be accidentally or incorrectly used for unrelated transaction types, such as those typically handled by a Bank journal or a Periodic Journal.
- **Control System Integration:** Certain Journal Types are designed to interact with specific subledgers or modules within GLS. For example, a 'Customer payment' type journal would typically interface directly with the Accounts Receivable module.
- **Ensure Proper Classification:** It helps in systematically categorizing journals based on their intended financial operation, aiding in organization and reporting.

When a new *Journal Name* is created, GLS will typically require the selection of a *Journal Type* from a predefined list. This list comprises various types, each designed for specific kinds of financial operations. While the exact list of *Journal Types* available in GLS will be comprehensive, common examples include:

- **Daily (or General Journal):**
 - **Typical Use:** This is often the most versatile type, used for recording miscellaneous day-to-day financial transactions that don't fit into more specialized journal categories.
 - **Functionality:** Provides a standard interface for general ledger postings.
- **Periodic Journals:**
 - **Typical Use:** Designed for transactions that recur regularly, such as monthly accruals or allocation journals.
 - **Functionality:** May offer features to facilitate recurring entries, such as templates or automated reversal options.
- **Customer Payment:**
 - **Typical Use:** Specifically used to record payments received from customers against outstanding invoices or to issue customer refunds.
 - **Functionality:** Integrates with Accounts Receivable, allowing for settlement of customer transactions.
- **Vendor Payment:**
 - **Typical Use:** Used to record payments made to vendors against supplier invoices.
 - **Functionality:** Integrates with Accounts Payable, facilitating vendor payment processing and settlement of vendor invoices.
- **Bank:**
 - **Typical Use:** For recording transactions directly related to bank accounts, such as bank transfers, bank fees, or interest received/paid, that may not directly relate to customer or vendor payments.
 - **Functionality:** Directly impacts bank account balances and is crucial for bank reconciliation processes.

Selecting the appropriate *Journal Type* when setting up a *Journal Name* is a fundamental step that ensures the journal will function correctly for its intended purpose and integrate properly within the overall GLS financial ecosystem.

Figure 3.4-2 illustrates a Journal Name of type Daily

Journal names

Name	Description
GenJrn	General Journal

General

Journal type

Daily

Figure 3.4-2

3.4.1.3. Journal Voucher Numbers

A fundamental aspect of journal configuration in GLS, closely tied to the *Journal Name* setup, is the assignment and management of **Voucher Numbers**. Every journal entry that is posted to the General Ledger must be assigned a unique voucher number. This system-generated identifier is critical for maintaining a clear audit trail, facilitating transaction tracking and reconciliation, and ensuring the uniqueness of each accounting entry.

When configuring a *Journal Name*, it is essential to specify a **voucher numbering series**. This series is drawn from a preconfigured *Number Sequence*. The selected number sequence dictates the format and progression of voucher numbers generated for journals using that specific *Journal Name*.

Beyond selecting the number sequence itself, GLS provides options for how new voucher numbers are allocated within a single journal that may contain multiple lines or entries. This is determined by the **New Voucher Number Allocation Type** specified for the *Journal Name*. The two primary allocation types are:

- One Voucher Number Only
- In Connection with Balance

One Voucher Number Only Allocation

The **One Voucher Number Only** allocation type provides a straightforward approach to voucher numbering within a journal.

How it Works:

When this configuration is selected for a *Journal Name*, GLS will assign a single, unique voucher number to the *entire journal* when it is initiated. All lines entered within that specific journal instance, irrespective of their individual debit/credit amounts or how they might relate to each other to form balanced entries, will share this one identical voucher number.

Use Cases:

This method is often preferred when:

- An entire journal batch, with all its lines, is considered a single, indivisible transaction from a voucher numbering perspective.
- Maximum simplicity in voucher numbering is the primary goal.
- The journal typically contains only one single primary logical transaction, even if that transaction is detailed across many debit and credit lines (e.g., a complex reclassification or allocation entry that should be identified by a single voucher).

In Connection with Balance Allocation

The **In Connection with Balance** method for allocating new voucher numbers within a journal in GLS assigns voucher numbers dynamically based on the balancing status of the journal lines.

How it Works:

- **New Voucher for Balanced Segments:** With this allocation type, GLS will typically assign a new voucher number from the selected number sequence whenever a new, self-balancing set of journal lines begins, or when a preceding set of lines has achieved a zero balance.
- **Continuing Voucher for Unbalanced Segments:** If, after a journal line is entered, the cumulative debits and credits for the current voucher number do not yet balance to zero, subsequent journal lines entered to complete that logical transaction will continue to use the *same* voucher number.
- **Triggering a New Voucher:** The same voucher number will persist across multiple lines until the cumulative debits and credits associated with that specific voucher number are equal (i.e., the voucher segment is balanced). Once a balance is achieved, the *next* new journal line initiated will then draw a fresh voucher number from the number sequence.

Example Scenario:

Imagine a journal entry:

1. **Line 1:** Debit Expense Account A for \$100 (Voucher **00001** assigned)
2. **Line 2:** Credit Cash Account for \$100 (Voucher **00001** continues as it balances Line 1)
(At this point, voucher **00001** is balanced.)
3. **Line 3:** Debit Expense Account B for \$50 (New Voucher **00002** assigned, as **00001** was complete)
4. **Line 4:** Debit Expense Account C for \$25 (Voucher **00002** continues)
5. **Line 5:** Credit Accounts Payable for \$75 (Voucher **00002** continues and now balances Lines 3 & 4)

This method ensures that distinct, balanced accounting transactions within a single journal batch can each receive their own voucher number, while related, multi-line entries that form a single balanced transaction share one.

The choice between **One Voucher Number Only** and **In Connection with Balance** for a *Journal Name* depends on the organization's specific requirements for transaction granularity, audit trail detail, and reporting needs for entries made through that particular journal.

3.4.1.4. Journal Controls (Content-Based Restrictions)

Beyond the general characteristics defined by a *Journal Name* and its *Type*, GLS provides **Journal Controls** as a powerful mechanism to specify more granular restrictions and limitations on the *content* of journal entries created using a particular *journal*. These *controls* act as specific posting rules associated with a *journal*, ensuring that only appropriate and valid data is entered and processed through that *journal*.

Purpose and Significance of Journal Controls

The primary purpose of implementing Journal Controls is to:

- **Enhance Data Accuracy:** By restricting the types of accounts or dimension values that can be used, *Journal Controls* help prevent incorrect data from being entered into specific journals.
- **Enforce Business Rules:** They allow organizations to systematically enforce specific business rules regarding what kind of financial activity is permissible or expected within a given journal.
- **Improve Processing Efficiency:** By guiding users towards correct account and dimension usage, they can reduce data entry errors and subsequent correction efforts.
- **Strengthen Internal Controls:** *Journal Controls* contribute to a stronger internal control environment by limiting the scope of what can be posted through designated journals.

Common Types of Journal Controls

GLS typically allows for the configuration of several types of content-based restrictions on a *Journal Name*. These controls enable administrators to define:

- **Company (Legal Entity) Restrictions:**
 - **Functionality:** This control can restrict postings made through a particular *journal* to transactions involving only a specific company (legal entity) or a set of companies, which is especially relevant in *intercompany* journal setups.
 - **Example:** An '*Intercompany AR/AP - EU Region*' *journal* might be restricted so that it can only be used for transactions between legal entities explicitly defined as part of the EU group.
- **Account Type Restrictions:**
 - **Functionality:** This control limits the types of main accounts (e.g., Ledger, Customer, Bank) that can be used when entering lines in a journal associated with this *Journal Name*.
 - **Example:** A '*Customer Payment*' *journal* might be configured with a *Journal Control* that only permits the use of '*Customer*' account types. If a user attempts to enter a '*Vendor*' account or a general '*Ledger*' account on such a journal, GLS would prevent the entry or display an error message, guiding the user to the correct account type usage.

• Specific Account Restrictions:

- **Functionality:** Beyond just restricting by account type, it may be possible to limit journal lines to specific main accounts or ranges of main accounts.
- **Example:** A specialized '*Marketing Campaign Expense*' journal could be restricted to allow postings *only* to a predefined set of marketing expense main accounts and a specific marketing accrual account.

• Financial Dimension Value Restrictions:

- **Functionality:** *Journal Controls* can also extend to **Financial Dimensions**, specifying which dimension values or combinations are permissible for journals using a particular *Journal Name*. This works in conjunction with, and can further refine, the rules set by the **Account Structures** assigned to the ledger.
- **Example:** A '*Departmental Expenses*' journal might have a control that, while the *Account Structure* allows many departments, *this specific journal* can only be used for postings to '*Sales Department*' or '*Marketing Department*' dimension values.

How Journal Controls Work

When a *Journal Name* has active *Journal Controls*, GLS will validate each *journal line* entered against these predefined rules prior to posting. If a line violates an active control (e.g., an invalid account type is used, or a restricted dimension value is entered), the system will typically provide an error message and prevent the line or journal from being processed further until the issue is corrected.

By leveraging Journal Controls effectively, organizations can significantly improve the accuracy, consistency, and compliance of their journal entry processes within GLS.

Figure 3.4-3 illustrates Journal Control configurations for a specific Journal Name

Journal control

Journal name: STAT Description: Statistical

Which account types can be posted?

Add Remove

Company accounts	Account type
USMF	Ledger

Which segment values are valid for this journal?

Add Remove

Company accounts	Account structure	Segment	From value	To value
USMF	Manufacturing B/S	MainAccount	120100	250606

Figure 3.4-3

3.4.1.5. Private Journal

In addition to general journal controls, GLS offers a **Private Journal** functionality to further enhance security and control over specific journal workflows. This feature allows administrators to restrict the usage of particular *Journal Name* to designated individual users or specific user groups.

Purpose and Benefits:

The primary purpose of setting a *Journal Name* as *private* is to ensure that sensitive or specialized journals are only accessible and utilized by authorized personnel. This capability is particularly valuable in scenarios such as:

- **Confidential Transactions:** Journals used for confidential entries like payroll, management-level adjustments, or sensitive accruals can be restricted to a very limited set of users (e.g., the finance manager, specific accountants).

- **Specialized Processes:** If certain journals are part of a specialized process handled by a particular team (e.g., intercompany transaction journals), access can be limited to members of that team, preventing accidental or unauthorized use by others.
- **Segregation of Duties:** It can help enforce segregation of duties by ensuring that only individuals with the appropriate responsibilities can access and use journals related to specific high-risk or critical financial areas.
- **Reducing Errors:** By limiting who can use certain journals, the risk of incorrect journals being used for inappropriate transaction types by less familiar users can be minimized.

Configuration and Usage:

When a *Journal Name* is configured in GLS, an option is typically available to designate it as private and then specify the user(s) or user group(s) who are granted exclusive access.

- **If a Journal Name is set as private and assigned to specific users/groups:** Only those designated users or members of the specified user groups will be able to select and use that *Journal Name* for creating new journal entries. For all other users, that *Journal Name* will effectively be hidden or inaccessible.
- **If a Journal Name is not set as private:** It is generally available for use by any user who has the basic permissions to create journal entries of that *Journal Type* (subject to other posting restrictions or controls that may also apply).

The *Private Journal* feature provides an important layer of granular access control, allowing organizations to tailor journal accessibility precisely to their operational needs and internal control requirements, thereby enhancing both security and process integrity within GLS.

3.4.1.6. Journal Approvals

To enhance financial governance and ensure an additional layer of oversight for critical or sensitive journal entries, GLS provides a straightforward **Journal Approval** mechanism. This feature allows organizations to designate that journals created using specific *Journal Names* must be reviewed and formally approved by an authorized individual or group before they can be posted to the General Ledger.

Purpose and Benefits of Journal Approvals:

Implementing journal approvals offers several key benefits:

- **Enhanced Accuracy:** Provides a review step to catch potential errors, misclassifications, or policy deviations before transactions become permanent ledger entries.
- **Improved Internal Control:** Strengthens the internal control framework by requiring independent verification for certain types of journals.
- **Increased Accountability:** Clearly defines responsibility for both the preparation and the authorization of journal entries.
- **Compliance Support:** Helps organizations meet internal policies or external regulatory requirements that mandate review and approval for financial postings.

Approval Options in GLS:

When configuring a *Journal Name* in GLS, administrators can typically select from the following approval-related options to determine the workflow for journals created with that name:

- **No Approval Required:**
 - **Functionality:** Journals created using this *Journal Name* do not require any formal approval step before they can be posted. Once the journal is complete and validated by the system, it can be directly posted by a user with the appropriate posting permissions.
 - **Typical Use:** Often used for routine, low-risk journals where an additional approval step is considered unnecessary, or where other controls are considered sufficient.

- **Manual Approval:**

- **Functionality:** Journals created using this *Journal Name* must undergo a manual approval process by designated personnel before they can be posted.
- **Configuration:** When *Manual Approval* is selected for a *Journal Name*, GLS will typically require the further specification of:
 - **Approver(s):** The specific user(s) who are authorized to approve journals created using this *Journal Name*.
 - **Approval User Group(s):** Alternatively, or in addition, specific user group(s) can be designated, meaning any member of that group can perform the approval.
- **Process:**
 1. The originator creates and finalizes the journal lines.
 2. The journal is then submitted (either explicitly by the user or implicitly by its status changing) into an "awaiting approval" state (e.g., "Submitted for Approval" as discussed in [Journal States](#)).
 3. The designated approver(s) review the journal.
 4. The approver then either "Approves" or "Rejects" the journal.
 5. Only "Approved" journals can proceed to be posted. "Rejected" journals may be returned to the originator for correction or cancellation.
- **Typical Use:** Applied to journals that involve significant amounts, sensitive accounts, non-standard entries, or any other criteria an organization deems worthy of a second review.

The Journal Approval feature in GLS, even in its straightforward manual form, provides a valuable control point, allowing organizations to tailor their review processes to the risk and nature of different journal types, thereby reinforcing financial discipline and accuracy.

3.4.1.7. Posting restrictions

Beyond [Journal Approvals](#), GLS offers **Posting Restrictions** for [Journal Names](#) to enable fine-grained control over who has the ultimate authority to perform the final journal posting. This crucial feature operates on a distinct principle: when posting restrictions are defined for a *Journal Name*, users explicitly included in that restriction are typically authorized to post *only those journals they themselves created*. Conversely, users not specified on the restriction list are able to post any journal in that journal name, regardless of who created the journal.

By distinguishing posting rights in this manner based on user assignment and journal creatorship, GLS provides precise process control, helps enforce specific operational workflows, and significantly reinforces accountability.

Purpose and Benefits of Posting Restrictions

The strategic use of Posting Restrictions offers several advantages:

- **Creator Accountability:** Ensures that users listed in a restriction are directly responsible for posting the journals they create.
- **Controlled Delegation:** Allows for scenarios where general users might be restricted to posting only their own entries, while specific individuals (not on that restrictive list) can post a broader range of journals.
- **Enhanced Data Integrity:** Channels the final posting authority, reducing the risk of unauthorized or invalid postings.
- **Support for Segregation of Duties (in conjunction with Approvals):** When combined with Journal Approvals, Posting Restrictions can form a robust framework for separating the preparation, approval, and final posting of journal entries.

Configuration and Behavior of Posting Restrictions in GLS

Posting Restrictions are set at the *Journal Name* level. The system's behavior is determined as follows:

- **Scenario 1: No Posting Restrictions Defined on the Journal Name**

- **Behavior:** If a *Journal Name* has no users or user groups specified in its *Posting Restriction* list, then any user possessing the general system permissions to post journals of that type can post *any* journal created with this *Journal Name*, regardless of who the original creator was.
- **Typical Use:** Suitable for general-purpose journals where broad posting access is appropriate, or in environments with simpler control requirements.

- **Scenario 2: Posting Restrictions ARE Defined on the Journal Name (by listing specific Users or User Groups)**

This scenario activates GLS's specific logic for controlled posting:

- **For Users/Groups Included in the Restriction List:**

- **Behavior:** If a user (or a user who is a member of a listed user group) is specified in the *Posting Restriction* for a *Journal Name*, that user is authorized to post journals in this *Journal Name* **if, and only if, they themselves were the original creator of that specific journal**. Such users cannot post journals created by others, even if those journals use the same *Journal Name* and have passed any required approval steps.
- **Implication:** Users on the restriction list cannot post journals created by others and are only authorized to post journals they themselves created.

- **For Users/Groups Not Included in the Restriction List (when restrictions *are* defined for others):**

- **Behavior:** If a *Journal Name* has a defined *Posting Restriction* list, but a particular user is *not* included in that list, that user (assuming they have general posting permissions) can post *any* journal created with this *Journal Name*, **regardless of who created it**.
- **Implication:** This allows designated individuals (e.g., supervisors, accounting managers) who are *not* on the "creator-only" restriction list to have broader authority to post journals created by others using that specific *Journal Name*, perhaps after an approval.

3.4.1.8. Example Scenario: Achieving Segregation of Duties in Journal Workflows

GLS enables powerful control scenarios by allowing features like *Posting Restrictions* and *Journal Approval* to be used in combination. A common business requirement, for instance, is to ensure robust segregation of duties where team members can prepare journals, but a manager must approve them before the original preparer can post their own journal. This effectively separates the act of journal preparation from its final commitment to the ledger after an independent review.

The following scenario for **CompanyX** illustrates how these GLS features can be configured to achieve such a controlled workflow for sales-related adjustments:

CompanyX Scenario: Sales Team Journals with Managerial Oversight

CompanyX wants to allow its Sales Team members to create journals for sales-related adjustments using a specific *Journal Name*, 'SalesAdjustments', but requires the Sales Manager to approve these journals before they are posted. Furthermore, each Sales Team member should only be able to post the journals they themselves created, after approval.

1. Journal Name Setup ('SalesAdjustments'):

- **Posting Restriction:** The 'Sales Team' user group is added to the *Posting Restriction* list for the 'SalesAdjustments' Journal Name.
 - **Effect:** This ensures any Sales Team member can only post 'SalesAdjustments' journals they personally created.
- **Journal Approval:** "Manual Approval" is enabled, and the 'Sales Manager' user is designated as the approver.
 - **Effect:** No 'SalesAdjustments' journal can be posted until the Sales Manager approves it.

2. Process Flow:

- Anna (a Sales Team member) creates a new journal using the 'SalesAdjustments' *Journal Name*.
- Due to the *Journal Approval* setting, Anna *cannot* immediately post this journal. Its status becomes "Submitted for Approval" (or similar).
- The Sales Manager reviews Anna's journal.
 - If the Sales Manager **rejects** the journal, it is returned to Anna for correction. Anna still cannot post it.
 - If the Sales Manager **approves** the journal, its status changes to "*Approved*".
- Now that the journal is approved, Anna (as the creator and a member of the 'Sales Team' group on the Posting Restriction list) **can now post** her own journal. She still cannot post a journal created by another Sales Team member, even if it's approved.

3. Outcome:

- **Creator Responsibility:** Each Sales Team member is responsible for their own journal from creation through to posting (after approval).
- **Managerial Oversight:** No sales adjustment journal is posted without the Sales Manager's explicit approval.
- **Segregation of Duties Achieved:** The creator of the journal (Sales Team member) cannot directly post the journal. The approval by the Sales Manager acts as the critical control step before the creator can complete the posting. This effectively separates the preparation/initial input from the authorization to commit to the ledger.

This combination of features in GLS provides a flexible yet robust framework for tailoring journal processing controls to meet specific organizational requirements for accountability and internal control.

3.4.2. Journal Descriptions (Reusable Transaction Text)

To enhance efficiency and promote consistency in the descriptions applied to journal transactions, GLS provides a feature for creating and utilizing predefined **Journal Descriptions** from a central repository. This functionality allows users to efficiently incorporate these standardized narratives by selecting from a common list or by searching for a specific description using its unique, pre-configured search name/code, rather than manually typing similar texts repeatedly for common entries.

Purpose and Benefits of Predefined Journal Descriptions:

Manually entering descriptive text for every journal line can be time-consuming and prone to inconsistencies or typographical errors. Standardized Journal Descriptions offer several key advantages:

- **Increased Efficiency:** Users can select or search for a predefined description much faster than typing it out, significantly speeding up the journal entry process.
- **Improved Consistency:** Ensures that similar transactions are described uniformly across the system, which is invaluable for reporting, reconciliation, and audit trail clarity.
- **Reduced Errors:** Minimizes the risk of typographical errors or incomplete descriptions that can occur with manual entry.
- **Ease of Use:** Simplifies and streamlines the process of applying meaningful, standardized text to transactions for users.
- **Enhanced Reporting and Analysis:** Consistent descriptions make it easier to search, filter, and analyze transactions based on their narrative text.

Common Examples of Reusable Journal Descriptions:

Organizations often find it beneficial to create predefined descriptions for frequently occurring or critical transaction types, such as:

- Payment of Invoice #
- Transfer between Bank Accounts
- Monthly Accrual for Rent Expense
- Correction of Posting Error - Incorrect Account Used

By implementing and encouraging the use of predefined Journal Descriptions, GLS helps organizations maintain high standards of data quality, improve user productivity, and ensure that their financial records are comprehensively and consistently documented.

Figure 3.4-4 Illustrate a list of pre-defined Journal Descriptions

☐ Identification	Search name ↑	Description
☒ acq	acq	Acquisition
bud	bud	Budget
can	can	Cancellation
ch	ch	Check
cor	cor	Correction
dep	dep	Depreciation
int	int	Intercompany
inv	inv	Invoice
pay	pay	Payment
per	per	Periodic
rem	rem	Remittance

Figure 3.4-4

3.4.3. Number Sequences

Number Sequences in GLS are a fundamental system mechanism used to generate unique, human-readable identifiers for various types of master data records and transaction records that require such identification. These identifiers are crucial for data integrity, auditability, and efficient record tracking throughout the system. Any master data record (e.g., a customer, vendor, or item) or transaction record (e.g., a general journal voucher, a payment journal voucher, or an invoice) that needs a unique identifier is referred to as a *reference* in the context of number sequences.

Before new records can be created for any *reference* that requires a *unique identifier*, a corresponding *Number Sequence* must first be set up in GLS and then associated with that specific *reference*. This ensures that every new record of that type automatically receives a properly formatted and **unique sequence number**.

Key Configuration Aspects of Number Sequences:

When setting up a *Number Sequence* in GLS, several key aspects must be defined to control its behavior and format:

Scope of the Number Sequence

The **scope** of a *Number Sequence* defines which part of the organization or which *legal entities* will utilize that particular sequence. The scope is a critical setting as it determines the uniqueness boundary and potential sharing of the sequence. GLS typically supports the following scopes:

- **Shared:** A *Number Sequence* with a "Shared" scope is designed to be used across multiple *legal entities* within the GLS environment. This is useful for references where a globally unique identifier across the entire organization is desired or where the same numbering sequence is applicable to several entities.
- **Legal Entity:** A *Number Sequence* with a "Legal Entity" scope is specific to, and used by, only one defined *legal entity*. The numbers generated by this sequence will be unique *within that particular legal entity*. This is the most common scope for many transaction types that are specific to a company's operations.

The ability to configure specific scopes allows for flexibility in managing identifiers according to diverse organizational structures and reporting requirements.

Format of the Number Sequence

The **format** of a *Number Sequence* dictates the structure and appearance of the identifiers it generates. *Number Sequence* formats in GLS are composed of one or more **segments**, which are combined to create the final unique identifier. The primary types of segments available are:

- **Numeric Segment (Mandatory):**

- **Functionality:** This is the core, mandatory segment of any *Number Sequence*. It consists of a series of number signs (#) that represent incrementing numbers. Each time a new number is drawn from the sequence, this numeric part increases. The number of '#' signs determines the maximum number of digits for the numeric part and thus the total capacity of the sequence (e.g., ##### allows for numbers from 000001 to 999999).
- **System Default:** When creating a new *Number Sequence*, GLS typically adds a *Numeric Segment* by default.

- **Constant Segment (Optional):**

- **Functionality:** This segment allows for the inclusion of a fixed set of alphanumeric characters or symbols (e.g., "INV-", "JV-", "CUST") as a prefix or an intermediary part of the generated number. This constant text remains the same for every number generated by that sequence.
- **Scope Applicability:** Constant segments can be used with *Number Sequences* of any scope (*Shared* or *Legal Entity*).
- **Example:** A format like VEND-##### would generate identifiers such as VEND-000001, VEND-000002, etc.

- **Legal Entity Segment (Optional, Scope-Dependent):**

- **Functionality:** This segment automatically incorporates a predefined code representing the specific *legal entity* for which the number is being generated. It is typically used to embed the company identifier directly within the generated number.
- **Scope Applicability:** The Legal Entity segment can *only* be used with *Number Sequences* that have a "*Legal Entity*" scope. It is not applicable to "*Shared*" sequences.
- **Benefit:** By including this scope segment in the format, users can often identify the originating *legal entity* of a record simply by looking at its identifier.

Combining Segments for Informative Identifiers:

These segments can be combined to create highly informative and structured identifiers. For example:

- **Numeric Only:** ##### (e.g., 000001, 000002)
- **Constant + Numeric:** INV-##### (e.g., INV-000001, INV-000002)
- **Legal Entity + Constant + Numeric:** [LegalEntity_Code]-INV-##### (e.g., COMPX-INV-000001, COMPX-INV-000002, where **COMPX** is the legal entity code for *CompanyX*).

The order and inclusion of *Constant* and *Legal Entity* segments are configurable, allowing organizations to tailor record unique identifier for easy identification and categorization based on their specific requirements.

Generation Method: Automatic vs. Manual

GLS Number Sequences can be configured to generate numbers in one of two ways:

- **Automatic Generation:**

- **Functionality:** When a *Number Sequence* is set to automatic, GLS will automatically assign the next available number from the sequence whenever a new record is created for the associated *reference* (e.g., when a new journal voucher is initiated or a new customer record is saved). This is the most common method as it ensures uniqueness and efficiency.
- **Advanced Option - Continuous & Non-Continuous Sequence:** GLS will offer an advanced option for automatic sequences to define whether they must be strictly continuous (guaranteeing no gaps in the numbering, which can be critical for some legal/audit requirements but may have minor performance implications under very high transaction volumes) or if non-continuous generation (where small gaps from rolled-back or unsaved transactions are permissible for optimal performance) is acceptable. The choice depends on balancing strict sequential integrity with system performance needs.

- **Manual Generation:**

- **Functionality:** If a *Number Sequence* is set to manual for a particular *reference*, GLS will *not* automatically generate and assign a number when a new record is created. Instead, the system will typically enforce that the user *manually enters* an identifier. The configured *Number Sequence* format in this case still serves a purpose: it dictates the *required format* and the *allowable length or pattern* for the manually entered identifier. GLS would validate the user's input against this format.
- **Typical Use:** Manual generation is less common for high-volume transactions but might be used for certain master data records where identifiers come from an external system or follow a specific non-sequential convention, but still need to adhere to a defined structure within GLS.

The robust and flexible *Number Sequence* framework in GLS is essential for maintaining an organized, auditable, and uniquely identifiable set of master data and transaction records across the organization.

Figure 3.4-5 illustrates setting up a number sequence for Daily Journal

Identification

Number sequence code

GenJrn

Name

Daily General Journal

Scope parameters

Scope

Legal entity

Legal entity

USMF

Segments

+ Add

Remove

Move up

Move down

	Segment		Value	Length
	Legal entity	▼	USMF	4
	Constant	▼	-JNL-	5
	Alphanumeric	▼	#####	8

Format

USMF-JNL-#####

Figure 3.4-5

3.5. General Ledger Parameters

The **General Ledger Parameters** in GLS provide the central configuration point for establishing system-wide operational behaviors and rules, tailored specifically for each individual *legal entity*. These parameters define how the *General Ledger module* functions for a company, ensuring alignment with its distinct accounting policies and internal control frameworks.

3.5.1. References Number Sequence Assignment

While the detailed format and structure of individual *Number Sequences* are established in their dedicated setup area, this section within *General Ledger Parameters* outlines the critical process of assigning these defined sequences to specific *General Ledger references* within the General Ledger. This linking step is a **mandatory** prerequisite: GLS will prevent the creation of new records or the initiation of these specific *references* (such as creating Journal Batches) if a corresponding *Number Sequence* has not been assigned.

This essential assignment enables GLS to automatically generate the unique, sequential identifiers required for each designated record. Such systematic numbering is fundamental for ensuring data integrity, facilitating robust audit trails, and maintaining overall organizational control within the financial system.

Common General Ledger References:

Within this setup area in GLS, administrators assign specific, predefined *Number Sequences* to critical General Ledger references, including:

- **Journal Batch Identifiers:** A unique system-generated key assigned to each journal batch. This identifier serves as a batch number, grouping and linking related journal transactions together for processing and subsequent reference.
- **Foreign Currency Revaluation:** A unique key assigned to each system-generated voucher used for posting foreign currency revaluation adjustments.
- Other designated system-level General Ledger records requiring unique Number Sequence tracking.

Configuration Process:

The configuration involves selecting a specific *General Ledger reference* from a predefined list within GLS and then linking it to one of the *Number Sequences* that have already been established in the *Number Sequence* setup module. This ensures that whenever GLS needs to create a new instance of that reference (e.g., a new Journal Batch is created), it will automatically draw and use the next available number from the assigned *Number Sequence*.

The careful and accurate assignment of appropriate *Number Sequences* to all relevant *General Ledger references* is a foundational step. This central configuration ensures GLS operates as a well-organized, transparent, and auditable financial system.

3.5.2. Automated Transactions Accounts

GLS provides a dedicated and centralized configuration area for defining essential accounts for system-driven financial postings. The GLS ledger *automatically* utilizes these **Automated Transactions Accounts** for various predefined financial processes and critical period-end adjustments. Establishing these accounts correctly is paramount for ensuring the consistent and accurate recording of these system-generated transactions, thereby streamlining financial operations and significantly minimizing the risk of manual posting errors.

Within this central setup in GLS, several key types of accounts are defined to support these automated processes. These include the following primary categories:

- **Accounts for Currency Operations:**
 - **Purpose:** To automatically record and manage the financial impacts arising from multi-currency transactions and period-end revaluations. This typically involves configuring distinct accounts for:
 - **Realized gains or losses:** Recognized when foreign currency transactions are settled at a rate different from their initially recorded rate.

- **Unrealized gains or losses:** Recognized from the revaluation of open (unsettled) foreign currency balances at the end of an accounting period, reflecting current exchange rates.
- **Other currency differences:** Accounts to capture any other variances arising from specific currency exchange processes or minor rounding adjustments.
- **Importance:** Ensures an accurate financial representation of all foreign currency dealings and maintains compliance with accounting standards for their revaluation and reporting.
- **Year-End Result Account:**
 - **Purpose:** This designates the specific equity account, most commonly Retained Earnings, to which GLS automatically transfers the net profit or loss accumulated during the fiscal year as part of the formal year-end closing process.
 - **Importance:** This configuration is fundamental for accurately finalizing the fiscal year, closing out temporary (income statement) accounts, and correctly rolling forward the opening equity balances into the new fiscal year.
- **Accounts for Consolidation Differences:**
 - **Purpose:** For organizations performing financial consolidations across multiple legal entities, these accounts are essential for recording any financial differences, intercompany eliminations, or consolidation-specific adjustments that arise during the process. It's common practice to define separate accounts for Profit and Loss (P&L) related differences and Balance Sheet related differences.
 - **Importance:** Facilitates the preparation of accurate and compliant consolidated financial reports by properly accounting for inter-company transactions, differing accounting treatments between entities, and other consolidation adjustments.
- **Other System-Generated Transaction Accounts:**
 - **Purpose:** This category accommodates accounts for other specific automated postings that GLS generate. Examples include accounts for capturing minor rounding differences that occur from complex calculations or other specific system-driven adjustments.
 - **Importance:** Ensures that all system-initiated financial entries, regardless of their nature, are appropriately captured and classified within the general ledger, maintaining a complete audit trail.

Properly configuring all necessary automated transaction accounts in this central location is a vital step for the overall ledger setup. It empowers GLS to perform critical financial functions with precision and efficiency, thereby upholding the integrity and reliability of the organization's financial data

Figure 3.5-1 illustrates a basic setup for configuring automated posting accounts.

Posting type	↑ Main account	Name
Error account	999999	Error Account
Penny difference in accounting currency	618160	Rounding Difference
Year-end result	300160	Retained Earnings
Cash discount	403300	Customer Cash Discounts Taken
Balance account for consolidation differences	801200	Gain & Loss - Revaluation
Profit and loss account for consolidation differences	801200	Gain & Loss - Revaluation

Figure 3.5-1

3.5.3. Default Descriptions (for Automated Postings)

In addition to user-applied reusable **Journal Descriptions**, GLS also utilizes a system of **Default Descriptions** specifically for transactions that are posted **automatically** to the General Ledger. These predefined texts ensure that system-generated accounting entries are accompanied by clear, consistent, and informative

narratives, enhancing auditability and the understanding of automated financial processes which is crucial for auditability and understanding automated financial processes.

While users select *Journal Descriptions* during manual entry, GLS automatically applies *Default Descriptions* during routines like currency revaluation, automated period-end accrual generation, or system-driven intercompany postings, requiring no direct user intervention. These *Default Descriptions* provide meaningful text for system-generated entries, clearly explaining their origin and nature.

Common Scenarios for Default Descriptions:

Default Descriptions are configured for automated postings related to:

- Foreign currency revaluation (e.g., "Unrealized FX Gain/Loss Revaluation").
- System-generated intercompany balancing entries (e.g., "Intercompany Settlement Adjustment").
- Year-end closing procedure entries (e.g., "Transfer of Profit & Loss to Retained Earnings").

The use of configurable *Default Descriptions* ensures that all *automated* financial postings within GLS are transparent, easily understood, and contribute to a comprehensive audit trail.

3.5.4. Maximum Penny Posting Difference

In the course of processing financial transactions, especially those involving multiple lines, currency conversions, or complex calculations, minor differences due to rounding can occasionally occur, preventing a voucher from balancing. The **Maximum Posting Difference Configuration** in GLS provides a crucial mechanism for organizations to define an acceptable tolerance for such small imbalances. This enables GLS to automatically post these minor differences, streamlining operations and eliminating the need for manual intervention.

Purpose and Benefits:

The primary advantages of configuring a maximum posting difference are:

- **Streamlined Transaction Posting:** Prevents users from being blocked by insignificant rounding differences when trying to post journals or other transactions, improving operational efficiency.
- **Reduced Manual Adjustments:** Eliminates the need for users to manually create tiny adjustment entries to force vouchers to balance perfectly to the last smallest currency unit.
- **Controlled Accounting and Data Integrity:** While allowing for automated handling of small differences, this feature ensures that these are properly accounted for by posting them to specifically designated accounts, maintaining overall ledger integrity.

Configuration in GLS:

Setting up this feature within the *General Ledger Parameters* involves defining the following:

- **Maximum Difference Allowed:**
 - **Functionality:** This parameter allows administrators to specify the absolute maximum monetary amount (e.g., 0.01, 0.05, or an equivalent small value in the respective accounting currency) that GLS will consider an acceptable rounding difference for automatic processing. If the imbalance on a voucher exceeds this defined tolerance, the system will still require manual review and correction by the user.
 - **Consideration:** Organizations should set this maximum difference amount based on what they consider an appropriate level to be handled automatically by posting to the designated rounding accounts, instead of requiring manual journal adjustments.
- **Designated Accounts for Rounding Differences:**
 - **Functionality:** For GLS to automatically post these rounding differences, specific *Main Accounts* must be configured to receive these postings.
 - **Configuration Location:** The Rounding Difference **Debit Account** (typically an expense account, used when total debits on the voucher slightly exceed total credits) and the Rounding Difference **Credit Account** (typically an income or miscellaneous account, used when total credits slightly exceed total debits) must be defined within *Automated Transactions Accounts*.

- **Linkage:** This *Maximum Penny Posting Difference* configuration relies on the accounts specified in *Automated Transactions Accounts* to complete the automated posting when a difference within the defined tolerance is detected.

By configuring these parameters, GLS can intelligently manage minor rounding differences, ensuring smoother transaction processing while maintaining accurate financial records.

3.6. System & Integration Configuration

3.6.1. API Configuration & Modeling

3.6.1.1. Journal Entries Modeling

3.6.2. Periodic Tasks & Batch Jobs

4. Period/Year Closing

Period-end and *year-end closing* are fundamental accounting disciplines dedicated to finalizing all financial records for a specific period. These processes are critical for ensuring the integrity of financial data and producing reliable, timely reports for both internal analysis and external reporting obligations.

GLS provides a comprehensive and structured framework designed to control, streamline, and manage these vital procedures. This chapter details the functionalities within GLS for establishing the closing framework, executing *period* and *year-end* processes, and managing all related activities to enhance organizational efficiency and financial accuracy.

4.1. The Financial Closing Process in GLS

Before configuring specific features, it is vital to understand the fundamental objectives of a financial close and the common challenges organizations face. This context highlights how the GLS framework is specifically architected to transform the closing cycle into a controlled, efficient, and transparent process.

4.1.1. Core Objectives and Common Challenges

The primary objective of any financial close is to ensure the completeness and accuracy of an organization's financial records for a specific period. This involves a sequence of critical activities:

The primary objective of any financial close is to ensure the completeness and accuracy of an organization's financial records for a specific period. This involves a sequence of critical activities:

- **Transaction Finalization:** Ensuring all financial transactions for the period are fully recorded.
- **Subledger Reconciliation:** Reconciling all subledger activities (e.g., Accounts Payable, Accounts Receivable) and confirming they are accurately posted to the *General Ledger*.
- **Valuations and Adjustments:** Performing necessary period-end valuations, such as foreign currency revaluations, and recording all required adjustments to ensure the accounts reflect a true and fair view.
- **Statement Preparation:** Preparing the finalized accounts for the generation of internal management reports and the fulfillment of external reporting obligations.

However, organizations often encounter significant operational obstacles during the closing cycle. These **common challenges** include:

- Lack of a centralized view of all closing tasks, their individual status, and overall progress.
- Difficulty coordinating numerous, often dependent, tasks across different departments.
- Poor visibility into critical delays, where a single overdue task prevents subsequent tasks from starting.
- An increased risk of errors and omissions when processes lack formal structure and oversight.
- Difficulties in meeting critical reporting deadlines, causing pressure on finance teams.

4.1.2. The GLS Solution: A Framework of Templates and Schedules

GLS directly addresses these challenges by providing an integrated solution built upon a structured framework of *Closing Templates* and *Closing Schedules*. This system empowers finance teams to manage and control their financial closing processes with precision.

- **Closing Templates:** serve as standardized, reusable blueprints. Within a template, an organization predefines the comprehensive list of required closing tasks, their logical dependencies, the roles responsible for execution, and their relative due dates.
- **Closing Schedules:** are the live, actionable instances generated from a template for a specific closing period. When a schedule is created for a period (e.g., February 2025), GLS automatically populates it with all tasks from the chosen template and calculates specific calendar due dates.

This template-driven approach provides a centralized platform for managing the entire process, delivering significant advantages:

- **Consistency and Control:** Ensures that all required steps and internal controls are uniformly followed in every closing cycle.
- **Efficiency:** Drastically reduces the manual effort required to plan and initiate each close, freeing up valuable team resources.
- **Enhanced visibility:** Provides both focused and comprehensive real-time views of the closing process. It empowers individual task owners with a clear list of their assignments, while managers and the CFO gain a high-level overview to monitor the entire closing process and identify any bottlenecks.
- **Proactive Management:** Facilitates effective monitoring of progress against deadlines and allows for the proactive identification of potential delays.

4.2. The Period Close Management Framework

The *Period Close Management Framework* in GLS is the practical application of the template-driven approach introduced previously. It provides a dedicated, centralized workspace for managing the numerous tasks, dependencies, and resources involved in a period close. This framework unifies all closing activities into a single, collaborative workspace, moving beyond the limitations of manual tracking and individually managed checklists.

Successfully leveraging this framework involves a logical sequence of configuration and execution. This section will guide you through:

1. **Configuring the Framework Components:** Establishing the foundational elements such as closing roles, resources, task areas, and calendars.
2. **Creating Period Close Templates:** Building the reusable blueprints of tasks and their attributes.
3. **Generating and Managing Closing Schedules:** Creating live, period-specific schedules from the templates.
4. **Executing the Period Close Process:** Interacting with the closing schedule to update task statuses and monitor progress through to completion.

4.2.1. Configuring the Framework Components

To ensure a smooth and structured closing process, several foundational components **must** be configured within GLS before creating any *Closing Templates*. These components are the essential building blocks of the framework, defining the key elements of the close: the roles responsible for tasks (Closing Roles), the people assigned to them (Resources), the logical categories for grouping tasks (Task Areas), and the working days for the schedule (Closing Calendars).

Once established, these elements are designed to be reusable across multiple templates and schedules, which promotes organizational consistency and significantly simplifies long-term maintenance. The following subsections provide detailed guidance on setting up each of these critical components.

Closing Roles

A *Closing Role* is a generic job title or responsibility defined within the period close framework, such as "Accountant," "AP Clerk," or "Accounting Manager." These roles act as placeholders for task assignments within *Closing Templates*.

The primary purpose of using *Closing Roles* is to decouple the task from the specific person performing it. Instead of assigning a task directly to an employee (e.g., "John Smith"), you assign it to a role (e.g., "Accountant"). This approach offers significant long-term flexibility and simplifies schedule maintenance.

Key Behavior:

- When a new *Closing Schedule* is generated from a template, GLS automatically assigns tasks to the specific employee (*Resource*) who is currently designated to that *Closing Role*.

- If an employee changes responsibilities or leaves the organization, you only need to update the role assignment in one place. The change will then automatically apply to all future schedules generated, without needing to edit individual templates.

Figure 4.2-1 illustrates a list of Closing Roles

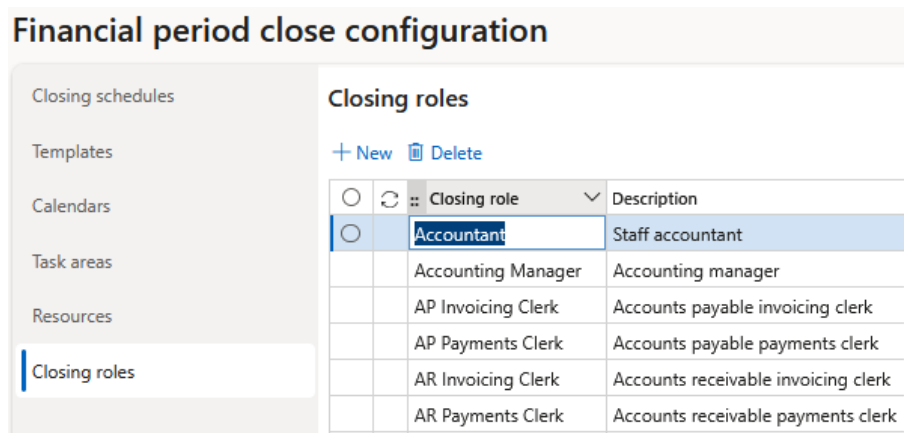


Figure 4.2-1

Resources

A *Resource* in the period close framework is a specific employee who is responsible for performing closing tasks. This setup creates the crucial link between an abstract *Closing Role* (e.g., "AP Clerk") and the individual who will actually execute the work (e.g., "Jane Doe").

To be designated as a *Resource*, an individual **must** first be set up as an employee within GLS.

Assigning Roles and Permissions:

- **Role Assignment:** An employee can be assigned to one or multiple *Closing Roles*. For example, a single employee could be assigned to both the "AR Invoicing Clerk" and "AR Payments Clerk" roles, making them responsible for all tasks associated with both.
- **System Constraint:** While an employee can hold many roles, **each *Closing Role* can only be assigned to one employee per legal entity at any given time.** This ensures clear and unambiguous ownership for every task.
- **View Permissions:** When setting up a *Resource*, you can configure their visibility within the closing schedule. This allows you to grant permissions to either:
 - **View Only Assigned Tasks:** The default setting for most users, focusing them on their specific responsibilities.
 - **View All Tasks and Statuses:** Typically assigned to managers or process owners (like a Controller) who need to oversee the entire closing process without necessarily performing individual tasks.

Managing Resource Changes:

The primary benefit of the *role-based* system becomes apparent when employee responsibilities change. If a *Resource* moves to a new position or leaves the company, an administrator simply reassigns the relevant *Closing Role(s)* to a new employee. This single change automatically updates the task assignments for all future *Closing Schedules*.

Important Note: Changes to role assignments **do not** affect *Closing Schedules* that have already been generated. For existing, in-progress schedules, task reassignments must be done manually on the schedule itself.

Figure 4.2-2 illustrates Resources assigned to Closing Roles

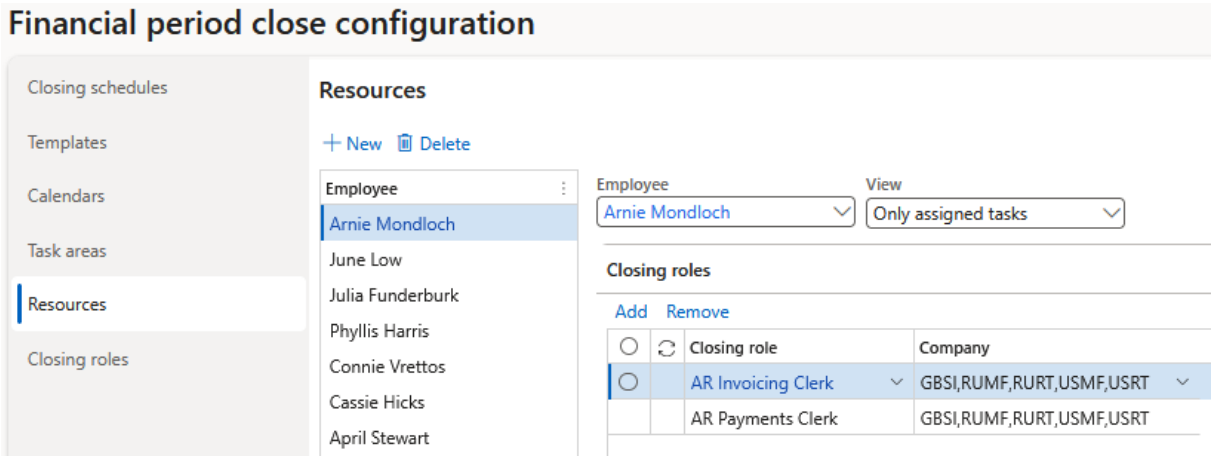


Figure 4.2-2

Task Areas

Task Areas are used to categorize closing tasks into logical groups based on functional areas, departments, or specific business processes. They serve as a primary organizational and filtering tool within the period close framework.

For example, a company might define *Task Areas* such as:

- Accounts Payable
- Accounts Receivable
- Inventory Control
- General Ledger
- Financial Reporting

Purpose and Application:

The primary purpose of defining *Task Areas* is to improve the management and visibility of the *Closing Schedule*. By assigning each task in a *Closing Template* to a specific *Task Area*, users can:

- **Filter the Task List:** Quickly view all tasks related to a single area (e.g., show only "Accounts Payable" tasks).
- **Clarify Ownership:** Group tasks under the departments or teams responsible for their completion.
- **Enhance Reporting:** Analyze the closing process by functional area to identify which groups are progressing on schedule and which may be causing delays.

System Constraint:

An organization can define an unlimited number of *Task Areas*. However, each individual task can be assigned to **only one Task Area**.

Figure 4.2-3 illustrates a list of Task Areas

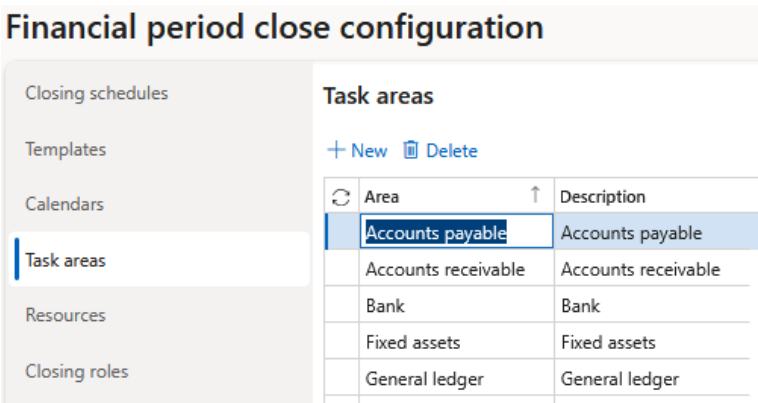


Figure 4.2-3

Closing Calendars

The *Closing Calendar* in GLS is a specialized calendar used exclusively by the period close framework. It operates independently from the main *Fiscal Calendar* to provide the flexibility needed to manage the unique demands of a closing period.

Key Concepts:

- **Decoupling from Fiscal Calendar:** The period close process often requires a unique work schedule (e.g., including weekends) that differs from the standard corporate or fiscal calendar. To accommodate this, GLS uses a dedicated *Closing Calendar*, a deliberate design feature that allows for more precise and realistic task scheduling.
- **Defining Working Days:** The core purpose of a *Closing Calendar* is to define which specific dates are considered "working days" and which are "non-working days." This calendar serves as the foundation for all due date calculations, but does not perform the calculations itself. The actual calculation of task due dates occurs later, when a *Closing Schedule* is generated from a template.
- **Managing Exceptions:** Once a calendar is created, it can be easily edited to accommodate exceptions like public holidays (by marking them as non-working) or special circumstances where teams must work on a weekend (by marking it as a working day).

Configuration Best Practice:

Financial closing activities for a given period or year (e.g., December) are almost always performed in the subsequent period (e.g., January). To ensure that you can schedule tasks correctly across these year-end boundaries, it is essential to create a *Closing Calendar* with an end date far into the future. A single, multi-year calendar is the recommended approach as it can be reused for all closing schedules, simplifying setup and preventing the need to create a new calendar each year.

Figure 4.2-4 illustrates a 5 working days calendar.

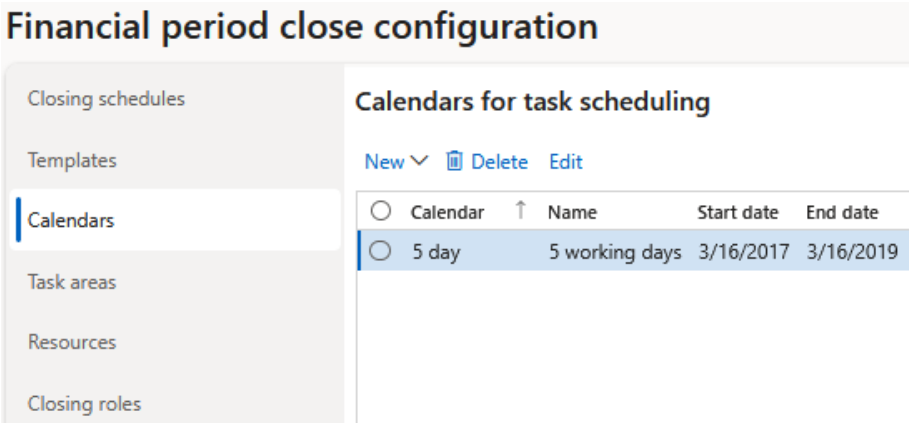


Figure 4.2-4

4.2.2. Creating Period Close Templates

A *Closing Template* is a standardized and reusable blueprint of all the tasks required to complete a financial close. This is the core of the period close framework, where you define the "what, when, who, and how" of your closing process in a generic format that can be used repeatedly.

GLS allows you to create multiple templates to accommodate different types of closing processes (e.g., a simple month-end close vs. a more complex quarter-end close) or to handle variations between different *legal entities*.

Defining a Task within a Template

A *task* represents a specific, actionable item that must be completed as part of the close. When creating a *Closing Template*, you build a comprehensive list of all these tasks. For each task you add, you must define several key attributes that control its behavior in the final schedule:

- **Task Area:** The functional group the task belongs to (e.g., "Accounts Payable"), as defined in the [Task Areas](#) setup. This is used for organization and filtering.
- **Due Date:** The relative due date for the task, defined as a number of working days before or after the *period* end date. For example:
 - **0:** Due *on* the period end date.
 - **2:** Due two working days *after* the period end date.
 - **-1:** Due one working day *before* the period end date.
 - A specific time of day for the due date can also be specified.
- **Closing Role:** The role responsible for completing the task (e.g., "Accountant"), as defined in the [Closing Roles](#) setup.
- **Company Assignment:** The [legal entities](#) or entities for which this task must be performed. A single task can be assigned to multiple companies.
- **Task Link (Optional):** A direct hyperlink to a specific page within GLS (e.g., the currency revaluation screen) or an external URL to guide the user to the precise location where the work can be done.
- **Dependencies (Optional):** One or more preceding tasks that must be marked as complete before this task can begin. This is critical for enforcing the correct sequence of operations (e.g., you must post all journals before you can run currency revaluation).

Best Practice:

When designing tasks, consider creating a logical dependency chain. For example, a "Verify all journals are posted" task should be a dependency for a "Run foreign currency revaluation" task to ensure procedural integrity.

Figure 4.2-5 illustrates month end period Closing Template

Financial period close configuration								
Closing schedules	Templates							
	Month end + New Delete ... Select area							
Calendars	Area	Task	Due date ...	Due time	Closing role	Company	Task link	Dependency
Task areas	Accounts receivable	Finalize period billing	0	5:00 PM	AR Invoicing Clerk	GBSI,RUMF,RURT,USMF,USRT	All sales orders	
Resources	Accounts receivable	Post open payment journals	1	10:30 AM	AR Payments Clerk	GBSI,RUMF,RURT,USMF,USRT	Payment journal	
Closing roles	Accounts receivable	Verify customer aging	1	12:00 PM	AR Payments Clerk	GBSI,RUMF,RURT,USMF,USRT	Customer aging report	✓
	Accounts receivable	Generate interest notes	1	11:00 PM	Collections Agent	GBSI,RUMF,RURT,USMF,USRT	Review and process interest notes	✓
	Accounts receivable	Generate collection letters	1	11:00 PM	Collections Agent	GBSI,RUMF,RURT,USMF,USRT	Review and process collection letters	✓
	Accounts receivable	Currency revaluation	1	11:00 PM	Accountant	GBSI,RUMF,RURT,USMF,USRT	Foreign currency revaluation	✓
	Accounts receivable	Reconcile to General ledger	2	12:00 PM	Accountant	GBSI,RUMF,RURT,USMF,USRT	Customer to ledger reconciliation report	✓
	Accounts receivable	Send customer statements	2	4:30 PM	AR Invoicing Clerk	GBSI,RUMF,RURT,USMF,USRT	Customer account statement	✓
	Accounts receivable	Stop period	2	5:00 PM	Accounting Manager	GBSI,RUMF,RURT,USMF,USRT	Ledger calendars	✓
	Accounts payable	Post pending vendor invoices	1	10:30 AM	AP Invoicing Clerk	GBSI,RUMF,RURT,USMF,USRT	Pending vendor invoices	
	Accounts payable	Post open payment journals	1	11:00 PM	AP Payments Clerk	GBSI,RUMF,RURT,USMF,USRT	Vendor payment journal	
	Accounts payable	Currency revaluation	1	11:30 PM	Accountant	GBSI,RUMF,RURT,USMF,USRT	Foreign currency revaluation	✓
	Accounts payable	Reconcile to General ledger	2	12:00 PM	Accountant	GBSI,RUMF,RURT,USMF,USRT	Vendor to ledger reconciliation report	✓
	Accounts payable	Verify vendor aging	2	4:30 PM	AP Payments Clerk	GBSI,RUMF,RURT,USMF,USRT	Vendor aging report	✓
	Accounts payable	Stop period	2	5:00 PM	Accounting Manager	GBSI,RUMF,RURT,USMF,USRT	Ledger calendars	✓
	General ledger	Post accrual transactions	2	5:00 PM	Accountant	GBSI,RUMF,RURT,USMF,USRT	General journals	
	General ledger	Process allocations	2	5:00 PM	Accountant	GBSI,RUMF,RURT,USMF,USRT	Allocation journals	
	General ledger	General journal adjustments	4	10:30 AM	Accountant	GBSI,RUMF,RURT,USMF,USRT	General journals	✓
	General ledger	Currency revaluation	4	11:30 AM	Accountant	GBSI,RUMF,RURT,USMF,USRT	Foreign currency revaluation	✓
	General ledger	Stop period	4	12:00 PM	Accounting Manager	GBSI,RUMF,RURT,USMF,USRT	Ledger calendars	✓
	General ledger	Detailed trial balance	5	5:00 PM	Accounting Manager	GBSI,RUMF,RURT,USMF,USRT		✓
	General ledger	Balance sheet	5	5:00 PM	Accounting Manager	GBSI,RUMF,RURT,USMF,USRT		✓
	General ledger	Income statement	5	5:00 PM	Accounting Manager	GBSI,RUMF,RURT,USMF,USRT		✓

Figure 4.2-5

4.2.3. Generating and Managing Closing Schedules

A *Closing Schedule* is the live, actionable work plan for a specific financial *period*, generated from a [Closing Template](#). It transforms the generic blueprint of the template into a concrete set of tasks with specific due dates and assigned employees for a given closing cycle (e.g., "February 2025 Close").

Creating a New Closing Schedule

To generate a new *Closing Schedule*, you must provide several key parameters that instruct GLS how to build the schedule:

- **Schedule Name and Description:** A unique name (e.g., "2025-02") and a more descriptive title for the schedule.
- **Period Start and End Dates:** The start and end dates of the financial period being closed (e.g., 01-Feb-2025 to 28-Feb-2025). The **Period End Date** is the single most critical date, as it serves as the anchor point (Day 0) for all task due date calculations.
- **Closing Template:** The specific *template* to be used as the source for the tasks.
- **Closing Calendar:** The *calendar* that defines the working and non-working days for this schedule.
- **Company Assignment:** The *legal entity or entities* to which this schedule applies.

When you create the schedule, GLS automatically performs the following actions:

1. It copies every task defined in the selected *Closing Template*.
2. For each task, it calculates the *specific calendar due date* by taking the **Period End Date** and applying the task's **Due Date Offset** using the selected *Closing Calendar* to skip non-working days.
3. It assigns each task to a specific employee (*Resource*) by looking up who is currently assigned to the task's *Closing Role*.
4. It builds the dependency links between the newly created tasks.

Figure 4.2-6 illustrates a Closing Schedule for fiscal period March 2017 linked to (Month End) template using (5 days) Calendar.

Closing schedules

Templates

Calendars

Task areas

Resources

Closing roles

Closing schedules

New ▾ Delete

		Closing schedule ↑	Period start date	Period end date	Template	Company	Calendar	Locked
☒		Mar2017	2/15/2018	3/15/2018	Month end	USMF,USRT,RUMF,RURT,GBSI	5 day	☐

Figure 4.2-6

Managing the Schedule

Once a schedule is generated, it is considered live. The user responsible for the overall close should review the schedule and make any necessary manual adjustments, such as:

- Reassigning specific tasks if an employee is unavailable.
- Adjusting due dates to accommodate unforeseen circumstances.

Figure 4.2-7 illustrates managing tasks within a closing schedule

Closing schedule tasks

Standard view * v

Filter lect closing schedule v

Closing schedule	Task	Area
Mar2017	Post open payment journals	Acco
Mar2017	Currency revaluation	Acco
Mar2017	Reconcile to General ledger	Acco
Mar2017	Verify vendor aging	Acco

Edit task

Closing schedule
Mar2017

Area
Accounts payable

Task
Stop period

Due date
3/18/2018 12:00:00 AM

Responsible
Phyllis Harris

Company
GBSI

Task link
Ledger calendars

Figure 4.2-7

Tasks on an active schedule that are not completed by their due date will be automatically highlighted (e.g., displayed in red) to draw immediate attention.

Figure 4.2-8 illustrates Closing Schedules management with their tasks.

Closing schedule	Task	Area	Company	Responsible	Due date	Status	Started	Completed
Mar2017	Post accrual transactions	General ledger	GBSI	Dan Jump	3/18/2018 12:00:00 AM	!	☐	☐
Mar2017	Process allocations	General ledger	GBSI	Dan Jump	3/18/2018 12:00:00 AM	!	☐	☐
Mar2017	General journal adjustments	General ledger	GBSI	Dan Jump	3/21/2018 5:30:00 PM	!	☐	☐
Mar2017	Currency revaluation	General ledger	GBSI	Dan Jump	3/21/2018 6:30:00 PM	!	☐	☐
Mar2017	Stop period	General ledger	GBSI	Phyllis Harris	3/21/2018 7:00:00 PM	!	☐	☐
Mar2017	Balance sheet	General ledger	GBSI	Phyllis Harris	3/23/2018 12:00:00 AM	!	☐	☐
Mar2017	Detailed trial balance	General ledger	GBSI	Phyllis Harris	3/23/2018 12:00:00 AM	!	☐	☐
Mar2017	Income statement	General ledger	GBSI	Phyllis Harris	3/23/2018 12:00:00 AM	!	☐	☐
Mar2017	Post open payment journals	Accounts payable	RUMF	April Stewart	3/17/2018 6:00:00 AM	!	☐	☐
Mar2017	Currency revaluation	Accounts payable	RUMF	Dan Jump	3/17/2018 6:30:00 AM	!	☐	☐
Mar2017	Currency revaluation	Accounts receivable	RUMF	Dan Jump	3/17/2018 6:00:00 AM	!	☐	☐
Mar2017	Generate collection letters	Accounts receivable	RUMF	Connie Vrettos	3/17/2018 6:00:00 AM	!	☐	☐

Figure 4.2-8

Locking and Unlocking Schedules:

After all closing activities for a *period* are complete, the schedule can be **locked**. A locked schedule is considered finished and is removed from the active task lists of users. However, if required, a *locked* schedule can be **unlocked** by an administrator to make further changes or corrections.

4.2.4. Executing the Period Close Process

Once a **Closing Schedule** is live, day-to-day execution and monitoring of the *period* close are performed through a dedicated **Financial Period Close Workspace**. This workspace serves as the central hub for all users involved in the closing process.

The Financial Period Close Workspace

Upon opening the workspace, a user must first select the active *Closing Schedule* they wish to view. The workspace will then display a personalized and high-level view of the schedule's status using a series of interactive tiles and task lists.

Figure 4.2-9 illustrates Financial Period Workspace view for Closing Schedule (Mar2017).

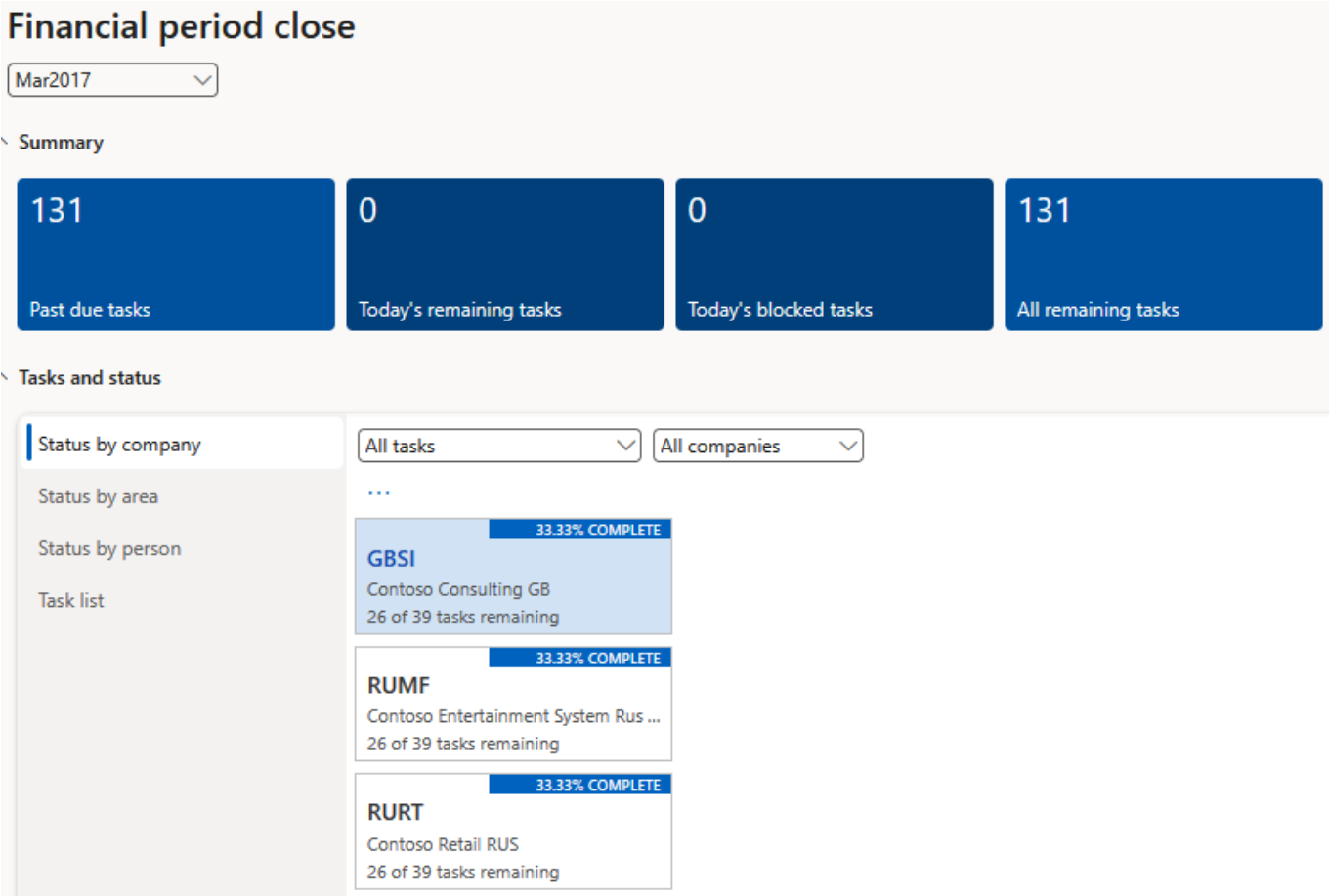


Figure 4.2-9

Key features of the workspace

- **Role-Based Views:** The information displayed is automatically filtered based on the user's role and permissions. Most employees will see only the tasks assigned directly to them, while managers will have a complete view of all tasks for the schedule.
- **Status Tiles:** Interactive tiles provide an at-a-glance summary of the close, highlighting key metrics such as:
 - Tasks that are past due.
 - Tasks due today.
 - Tasks that are currently blocked by incomplete dependencies.
 - A summary of all open or incomplete tasks.
- **Task Management:** From within the workspace, users can interact directly with their assigned tasks. A common workflow involves:
 1. Reviewing an assigned task.
 2. Using the *Task Link*, if provided, to navigate to the relevant GLS page to perform the work.
 3. Returning to the workspace and marking the task as **Complete**. When a task is completed, GLS automatically records the user's ID and the completion date/time for audit and tracking purposes.

This centralized workspace ensures that all participants have a real-time, accurate view of their responsibilities and the overall progress of the financial close.

Figure 4.2-10 illustrates a Task Management View in Financial Period Workspace

Financial period close

Mar2017

Summary

131 Past due tasks	0 Today's remaining tasks	0 Today's blocked tasks	131 All remaining tasks
-----------------------	------------------------------	----------------------------	----------------------------

Tasks and status

Status by company
Status by area
Status by person
Task list

Filter All tasks All companies All areas Show completed tasks Edit Set dependency Add Remove Template attachments Attachments

Started	Completed	Task	Area	Company	Responsible	Due date	Task link	Actual start date	Completed date
!	☐	Post accrual transactions	General ledger	GBSI	Dan Jump	3/18/2018 12:00:00 AM	LedgerJournalTable3		
!	☐	Process allocations	General ledger	GBSI	Dan Jump	3/18/2018 12:00:00 AM	LedgerJournalTable_Allocation		
!	☐	General journal adjustments	General ledger	GBSI	Dan Jump	3/21/2018 5:30:00 PM	LedgerJournalTable3		
!	☐	Currency revaluation	General ledger	GBSI	Dan Jump	3/21/2018 6:30:00 PM	LedgerExchAdj		
!	☐	Stop period	General ledger	GBSI	Phyllis Harris	3/21/2018 7:00:00 PM	LedgerCalendars		
!	☐	Balance sheet	General ledger	GBSI	Phyllis Harris	3/23/2018 12:00:00 AM			
!	☐	Detailed trial balance	General ledger	GBSI	Phyllis Harris	3/23/2018 12:00:00 AM			
!	☐	Income statement	General ledger	GBSI	Phyllis Harris	3/23/2018 12:00:00 AM			

Figure 4.2-10

4.3. The Year-End Close Process

The *year-end close* is a fundamental accounting procedure in GLS that finalizes all financial activity for a given *fiscal year* and prepares the ledger for the new year.

The primary objectives of the year-end close process are to:

- **Transfer Balance Sheet Balances:** Systematically carry forward the ending balances of all asset, liability, and equity accounts to become the opening balances for the corresponding accounts in the new *fiscal year*.
- **Summarize Profit and Loss Activity:** Close out the balances of all revenue and expense accounts to zero. The net result of this activity (the net profit or loss for the year) is transferred to the designated *Retained Earnings* account.

A key design feature of the GLS year-end close is its iterative nature. The process is not a one-time event but is designed to be run multiple times to accommodate adjustments.

- **The Initial Run:** The first execution of the process transfers the initial set of balances to the new year.
- **Subsequent Runs:** After the initial close, auditors or accountants may identify necessary adjustments. These can be posted to the relevant periods of the year being closed, and the year-end close process can be run again. Each subsequent run updates the opening balances in the new year to reflect these adjustments, ensuring the financial records are complete and accurate.

Important Note: This process is distinct from the **Period Close Management framework**. While that framework manages the human tasks and workflow of a close, the *Year-End Close* process is the **technical, system-driven execution** that performs the final ledger balance transfers.

4.3.1. Core Concepts of the Year-End Close

The *year-end close* process in GLS is executed through the generation of two distinct types of system transactions: the *Opening transaction* and the optional *Closing transaction*. Understanding the unique purpose and accounting impact of each is critical to managing the year-end procedure correctly.

The Opening Transaction (Mandatory)

This transaction is the primary output of the *year-end close* and is **always generated**. Its sole purpose is to establish the correct opening financial position in the new *fiscal year*. It is posted to the designated *Opening Period* of the *new fiscal year* and serves two primary functions:

1. **Establishes Opening Balances:** It carries forward the ending balances of all *Balance Sheet* accounts (Assets, Liabilities, and Equity) to the new year, creating the starting financial position.
2. **Transfers Net Income:** It calculates the net profit or loss from all Profit and Loss accounts (Revenue and Expenses) and posts this single, summarized amount to the designated *Retained Earnings* account.

The system determines how to treat each **Main Account** based on its assigned *Main Account Type* (Operating for P&L or Balance for Balance Sheet).

The Closing Transaction (Optional)

The *Closing transaction* is an optional feature enabled via a system parameter. If enabled, its sole purpose is to zero out the balances of all *Operating* accounts. This is achieved by posting a transaction with the necessary offsetting entries to the designated *Closing Period* of the *fiscal year being closed*. After this transaction is posted, the trial balance for the closed year will show a zero balance for all profit and loss accounts, providing a definitive statement that the year's operating activities have been finalized within the ledger.

4.3.2. Configuration for Year-End Close

Before executing the year-end close, several foundational components **must be** configured correctly. These settings define the fundamental behavior of the process, from how individual accounts are treated to how the system handles iterative closings and audit trails.

This section details the required configuration across *Main Accounts*, *General Ledger Parameters*, and *Fiscal Calendars*.

Main Account Setup

The behavior of each *Main Account* during the year-end close is determined by its specific configuration.

- **Main Account Type:** This field is the primary control that dictates how an account's balance is treated.
 - **Operating:** Designates a profit and loss account. The balance of this account will be closed out to the *Retained Earnings* account.
 - **Balance:** Designates a balance sheet account. The balance of this account will be carried forward as the opening balance in the new *fiscal year*.
- **Opening Account:** This field allows you to transfer the closing balance of one *Main Account* to a different *Main Account* in the new year. This is typically used when an account is being deprecated and replaced by a new one for the upcoming *fiscal year*.

General Ledger Parameters

These system-wide parameters, located in the fiscal year close section of the General Ledger setup, define the global rules for the year-end close process.

- **Create closing transactions during transfer:** This setting controls the generation of the optional *Closing transaction*.
 - **Yes:** The system will create both the *Opening transaction* in the new year and the *Closing transaction* in the year being closed.
 - **No:** The system will only create the *Opening transaction* in the new year. The balances of the Operating accounts will remain in the closed year.
- **Delete existing year-end entries when re-closing the year:** This setting dictates how GLS handles subsequent runs of the year-end close process.
 - **Yes:** When the process is rerun, the system first deletes the previous *Opening transaction* (and optional *Closing transaction*). It then creates a single new *Opening transaction* (and optional *Closing transaction*) reflecting the updated balances. This maintains a single, clean opening entry.
 - **No:** The system leaves the original *transactions* (*Opening and optional Closing*) in place. It then creates an additional transaction (*Opening and optional Closing*) that only contains the delta from adjusting entries posted since the last close. This method provides a clear audit trail of each iterative adjustment.

Ledger and Fiscal Calendar Readiness

The system requires that the calendar structure be ready to accept closing and opening entries.

- **Fiscal Calendar:** The *fiscal year* that you are closing into **must** exist before the process can be run. This is a prerequisite for creating the opening balances.

- **Ledger Calendar Period Status:** To accommodate adjusting entries, periods in the *fiscal year* being closed should be set to *On Hold*. This status prevents new, routine transactions from being posted but allows the period to be easily *reopened* for authorized adjustments. This provides greater flexibility than setting the period to *Permanently Closed*, which is an irreversible action.

Year-End Close Template Setup

Year-End Close Templates are reusable configurations that group legal entities and define specific closing parameters. This allows for efficient and consistent execution of the year-end close across the organization. A template includes the following components:

- **Group Name:** A unique identifier for the template (e.g., "North American Entities").
- **Fiscal Calendar:** The calendar shared by all *legal entities* within the template. A template can only contain entities that use the same *fiscal year*.
- **Legal Entities:** The specific legal entities to be included in this closing group.
- **Retained Earnings Main Account:** The specific *Main Account* designated for receiving the net profit or loss must be defined for *each* legal entity in the template.

Figure 4.3-1 illustrates a Year End Close Template Setup

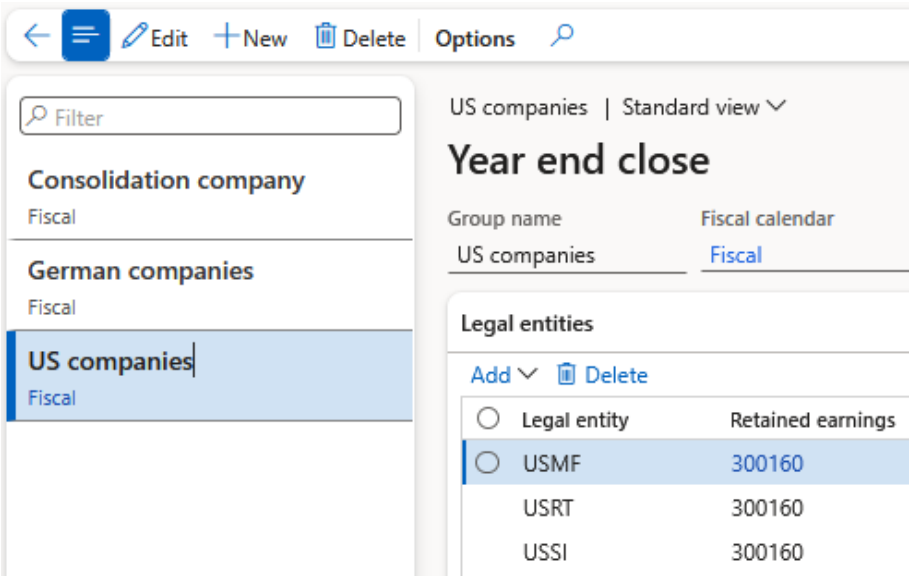


Figure 4.3-1

4.3.3. Executing the Year-End Close

To initiate the year-end close process, the system requires the user to define several key parameters for the specific processing run. These inputs provide the necessary context for GLS to select the correct data and apply the appropriate rules.

The required parameters for a year-end close run are:

- **The Year-End Close Template:** The user must specify which predefined template to use. This determines the overall group of *legal entities* and their shared *fiscal calendar* for the run.
- **Legal Entity Selection:** The user specifies which *Legal Entities* from the chosen template will be included in this particular run. This provides the flexibility to process all entities at once (typical for an initial run) or only a select few (common for posting adjustments).
- **Fiscal Year to Close:** The specific *fiscal year* being closed **must be** provided as an input.
- **Run-Specific Voucher Number:** The user must provide a unique, manually entered **Voucher Number**. This identifier is applied to all transactions generated across all selected *legal entities* for this run, linking them together as a single, traceable event.

Important Note: Unlike most transactions in GLS, this *Voucher Number* is **not** generated from a *Number Sequence*. It is a user-defined identifier that makes it easy to trace and manage the specific year-end close run.

Critical System Behavior: Account Structure Validation

A key aspect of the GLS year-end close process is that it **does not validate opening balance entries against the Account Structures of the new year**.

- **Rationale:** The primary objective of the year-end close is to carry forward the exact financial state of the closing year. Since *Account Structures* can change from one year to the next, enforcing the new year's rules could prevent a perfect balance transfer if, for example, a dimension combination used in the prior year is now invalid.
- **Implication:** The *Opening transaction* generated by this process may contain *Financial Dimension* combinations that are no longer valid under the current *Account Structure*. The system prioritizes a complete and balanced transfer of historical data over the enforcement of new-year validation rules at this specific step.

4.3.4. Managing and Reversing the Year-End Close

GLS provides robust functionality for tracking, managing, and, if necessary, reversing the year-end close process. The system maintains a detailed history of every execution, providing a clear and complete audit trail of all related activities.

Year-End Close History

Upon completion of a *year-end close* run, GLS creates a historical record for each combination of a *legal entity* and *fiscal year* that was processed. This history log serves as the central point of control and audit, with each record containing:

- The system date and time the process was run.
- The user ID of the person who initiated the run.
- A direct link to the Voucher Number created by that specific run.

Rerunning the Year-End Close

The year-end close process is designed to be run multiple times. The system's behavior when a close is rerun is governed by the *Delete existing year-end entries when re-closing the year* parameter, as configured in the *General Ledger setup*.

- **If the parameter is set to Yes:**

1. GLS first reverses the *Opening transaction* (and optional *Closing transaction*) created by the previous run for that fiscal year.
2. The corresponding history record is updated with a status of *Reversed*, and the link to the original voucher is removed.
3. A single, new *Opening transaction* is then created based on the cumulative, up-to-date balances.
4. A new history record is created for this new transaction.

This method maintains a single, clean opening entry for the new year.

- **If the parameter is set to No:**

1. The previously created transactions and history records remain untouched.
2. GLS creates a new, additional *Opening transaction* that reflects only the balances of adjusting entries posted since the last run.
3. A new history record is created for this new adjusting transaction.

This method creates a clear and distinct audit trail showing the initial close and each subsequent adjustment as separate transactions.

Figure 4.3-2 illustrates Year End Close management and history tracking.

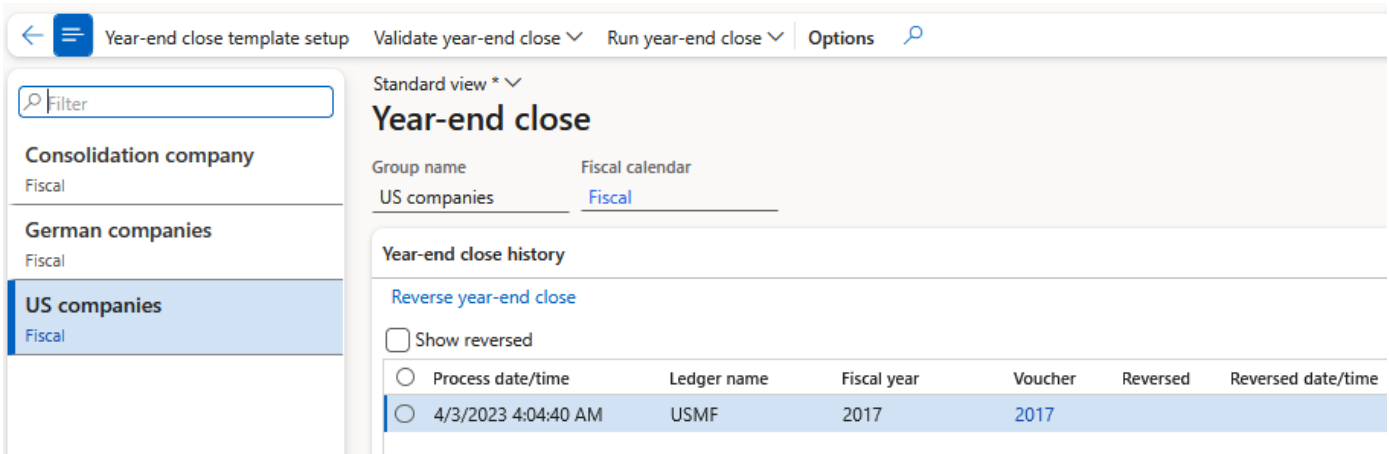


Figure 4.3-2

Reversing a Year-End Close

In addition to rerunning the close, GLS provides a distinct function to completely reverse a specific year-end close run. This is a deliberate administrative action performed from the history page.

When a user selects a specific historical record and initiates the reversal:

- The system deletes all associated vouchers (*Opening transaction* and optional *Closing transaction*) that were created by that specific run.
- The status of the historical record is permanently updated to *Reversed*.
- The record is stamped with the date and time of the reversal, and the link to the voucher is removed.

5. Journal Entries

5.1. General Journals

6. Reporting

6.1. Audit Reports

6.1.1. Account Statement

6.1.2. Trial Balance

6.2. Financial Statement Reports

6.2.1. Balance Sheet

6.2.2. Income Statement

6.2.3. Cash Flow